



MicroStar Logistics – Konvoy

MN-30003

Phase 2 Determination

Acquisition must not be put into effect

Statement of Reasons

7 August 2026

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1. Summary

- 1.1. On 17 June 2025, Kegstar Pty Limited (**Kegstar**), sought informal clearance from the Australian Competition and Consumer Commission (**ACCC**) to acquire certain Australian assets of Konvoy Holdings Pty Limited (Receivers and Managers Appointed) (Subject to Deed of Company Arrangement) (**Konvoy**) (together, the **Parties**). On 23 October 2025, the ACCC announced that it opposed the acquisition.
- 1.2. Following the ACCC's opposition, the Parties elected to seek clearance for the acquisition under Australia's new merger regime. On 6 February 2026, Kegstar lodged a notification with the ACCC in respect of Kegstar's proposed acquisition of certain Australian assets of Konvoy (the **Acquisition**). The effective notification date was 20 February 2026.¹
- 1.3. On 1 April 2026, the ACCC decided the Acquisition would be subject to a Phase 2 review and subsequently issued a Notice of Competition Concerns to Kegstar on 13 May 2026.² The ACCC published a summary of the Notice of Competition Concerns on the Acquisitions Register on 14 May 2026.³
- 1.4. The ACCC has determined that the Acquisition must not be put into effect. A summary of the ACCC's reasons for its determination is set out below.

Keg pooling in Australia

- 1.5. Brewers use keg pooling services to facilitate distribution of kegged alcoholic beverages to licensed venues without needing to own, maintain or recover their own keg fleet. In Australia, brewers acquire keg pooling services from one of two providers – Kegstar or Konvoy. In summary:
 - Kegstar introduced keg pooling services into Australia in 2012, when it commenced its keg pooling business.
 - Konvoy entered the market in 2019 and rapidly emerged as a direct competitor to Kegstar, with competition between the Parties manifesting through active rivalry for customers and improved pricing, service offerings and commercial terms.
 - Following a period of successful operation, Konvoy sought to expand into the United Kingdom and made investments in the development of a key tracking technology platform. It then started experiencing increasing financial difficulties from 2024.
 - Konvoy unsuccessfully sought additional capital and its secured lender declined to provide further funding in 2025. In March 2025, Konvoy entered administration and the secured lender appointed Messrs Crawford and Smith of McGrathNicol as Receivers.
 - The Receivers conducted a sale process across March and April 2025 in which **[Redacted - confidential]**.⁴

¹ **[Redacted - confidential]**.

² ACCC, *Phase 2 Decision*, 1 April 2026, 72969.001.016.0500; ACCC, *Notice of Competition Concerns*, 13 May 2026, 72969.001.075.0001.

³ ACCC, *Notice of Competition Concerns – Summary*, 13 May 2026, 72969.001.037.0269.

⁴ **[Redacted - confidential]**.

- The Parties entered into an Asset Sale Agreement on 20 June 2025,⁵ which, if completed, would result in Kegstar becoming the sole provider of keg pooling services in Australia.

The ACCC's statutory task

- 1.6. The ACCC recognises that participants in a receivers' sale process may pursue different objectives. Receivers are required to maximise returns for creditors (and the company), and the purchase price is clearly a key factor in maximising those returns. However, execution risk is also a relevant consideration. Where a sale process results in a firm seeking to acquire its closest competitor – which can carry with it the highest purchase price – significant competition concerns are likely to arise.
- 1.7. The ACCC's role is not to determine the most efficient ownership structure for an industry, nor is it to assist receivers in obtaining the highest return for creditors. Rather, as an administrative decision-maker under Part IVA of the *Competition and Consumer Act 2010* (Cth) (**the Act**), the ACCC's task is to assess the likely competitive effects of an acquisition in accordance with the statutory test. Under this regime, if the ACCC is satisfied that an acquisition, if put into effect, would, in all the circumstances, have the effect, or be likely to have the effect of substantially lessening competition in any market, it may determine that the acquisition must not be put into effect. The ACCC's assessment in this matter is directed to that statutory question.

Competitive effects of the Acquisition

- 1.8. The ACCC has assessed the likely competitive effects of the Acquisition in the market for the supply of keg pooling services in Australia. While brewers have alternative methods of distributing beverages to licensed venues, including cans, bottles and self-supplied kegs, the ACCC considers that keg pooling services constitute a distinct and valued service offering, and therefore a relevant 'market'. For many brewers, particularly small and medium-sized brewers seeking to distribute products beyond their local area, keg pooling avoids the capital investment, logistical and administrative costs, and risks associated with self-supply of kegs.
- 1.9. The ACCC has assessed the Acquisition and has made the following findings based on the evidence before it:
 - Kegstar and Konvoy are each other's closest competitor. The evidence before the ACCC indicates that Konvoy's entry led to vigorous head-to-head competition between the Parties, which is still continuing, including substantial price reductions, improved commercial terms and active rivalry for customers.
 - If the Acquisition proceeds, Konvoy would cease to operate as an independent competitive constraint and Kegstar would become the sole provider of keg pooling services in Australia. The Acquisition would remove the only significant source of direct rivalry in the market. The ACCC considers that the loss of this head-to-head competition would be likely to reduce competitive pressure on Kegstar in relation to price, service quality, and commercial offerings to brewers.
 - Absent the Acquisition, there is a real prospect that either an alternative purchaser would acquire Konvoy's business as a going concern through a rapid and targeted

⁵ [Redacted - confidential].

sale process, or that a substantial proportion of Konvoy's assets would otherwise be realised and deployed in competing keg pooling operations.

- Self-supply (following the Acquisition) would be unlikely to be sufficient to replace the competitive constraint currently imposed by Konvoy. While some larger brewers self-supply kegs and others may have the ability to do so for limited volumes or local distribution, the ACCC considers that a substantial portion of customers would be unlikely to switch to self-supply due to the significant capital investment, operational capability and ongoing logistical management required.
- Timely and sufficient new entry is unlikely. Although kegs and other key inputs are generally available, a new entrant would need to establish the operational capability, reputation and customer base sufficient to compete effectively. Konvoy's management possessed a strong reputation and operational capability when it entered in 2019. However in the ACCC's view, the current limited availability of contestable customer contracts, likely customer consolidation following the Acquisition, and the challenges of achieving scale make timely and effective new entry unlikely.

1.10. Having regard to the matters outlined above, the ACCC considers that competition in the future with the Acquisition would likely be substantially less than in the future without the Acquisition.

1.11. The ACCC does not consider that the Proposed Undertaking offered by Kegstar addresses the extent of the competitive harm arising from the Acquisition. That harm is substantial and arises from a significant structural change in the market to a monopoly provider of keg pooling services in Australia. The ACCC considers that a behavioural and time-limited remedy would not sufficiently replicate the structural competitive constraint provided by an independent competitor.

1.12. For these reasons, the ACCC is satisfied that the Acquisition, if put into effect, would, in all the circumstances, be likely to have the effect of substantially lessening competition in the Australian keg pooling services market and has determined that the Acquisition must not be put into effect.

2. Background

The acquirer – Kegstar

2.1. Kegstar is a wholly owned subsidiary of MicroStar Logistics, LLC (**MicroStar**), which is a limited liability company incorporated in the United States. MicroStar is an independent keg services company that has operations in the United Kingdom, Europe, Australia and New Zealand. It entered the Australian market in 2021 via acquisition of the Kegstar business from Brambles.

2.2. Kegstar provides keg pooling services to brewers of a range of sizes. Its largest customers in Australia by number of fills in 2025 included: **[Redacted - confidential]**.⁶ It also supplies a range of small to medium brewers.

⁶ **[Redacted - confidential]**.

2.3. Kegstar primarily offers keg pooling services in Australia. Keg pooling services are explained at 2.11 to 2.13 below. It also offers longer-term keg leasing. Kegstar had approximately **[Redacted - confidential]** keg fills in 2025.⁷

The target – Konvoy

2.4. Konvoy operates a keg services business in Australia and New Zealand. It offers keg pooling services, longer-term keg leasing, and keg maintenance and repair services.

2.5. Konvoy provides keg pooling service to brewers of a range of sizes. Its largest customers in Australia by number of fills in 2025 included: **[Redacted - confidential]**.⁸ It also supplies many smaller brewers. Konvoy had approximately **[Redacted - confidential]** keg fills in Australia in 2025.⁹

2.6. Further information on keg pooling services, including their supply in Australia, is set out below.

Overview of keg pooling services

2.7. In Australia, beer and cider are mostly sold through two major channels, being:

- ‘on-premise’, which includes the sale of ‘kegged alcoholic beverages’ (served through taps) and ‘packaged alcoholic beverages’ (in bottles and cans) for consumption in licensed venues, and
- ‘retail’ where ‘packaged alcoholic beverages’ are sold in retail outlets.

2.8. A typical keg is made from stainless steel, has a capacity of 50L, can be stacked for easy storage, and is reusable. While kegs can come in other sizes and be made from materials other than stainless steel, the ACCC understands that those kegs usually serve specific uses. For example, alcoholic beverage producers may use single-use plastic kegs when exporting alcoholic beverages as the kegs do not need to be returned and are typically cheaper.¹⁰

2.9. Producers of alcoholic beverages (typically brewers) who wish to have their drinks served on tap in licensed venues will fill empty kegs and then arrange for them to be delivered to licensed venues. Once a stainless-steel keg has been emptied at the venue, the keg must then be collected.

2.10. The beverage producer can use its own kegs and arrange for delivery and collection or can use a keg pooling service.

2.11. Keg pooling (sometimes known as ‘pay-per-fill’, or PPF) is a service in which a provider owns a pool of kegs and supplies empty kegs to customers (which are primarily brewers), using either its own vehicles or third-party logistics providers. Figure 1 below shows how keg pooling differs from self-supply.

⁷ **[Redacted - confidential]**.

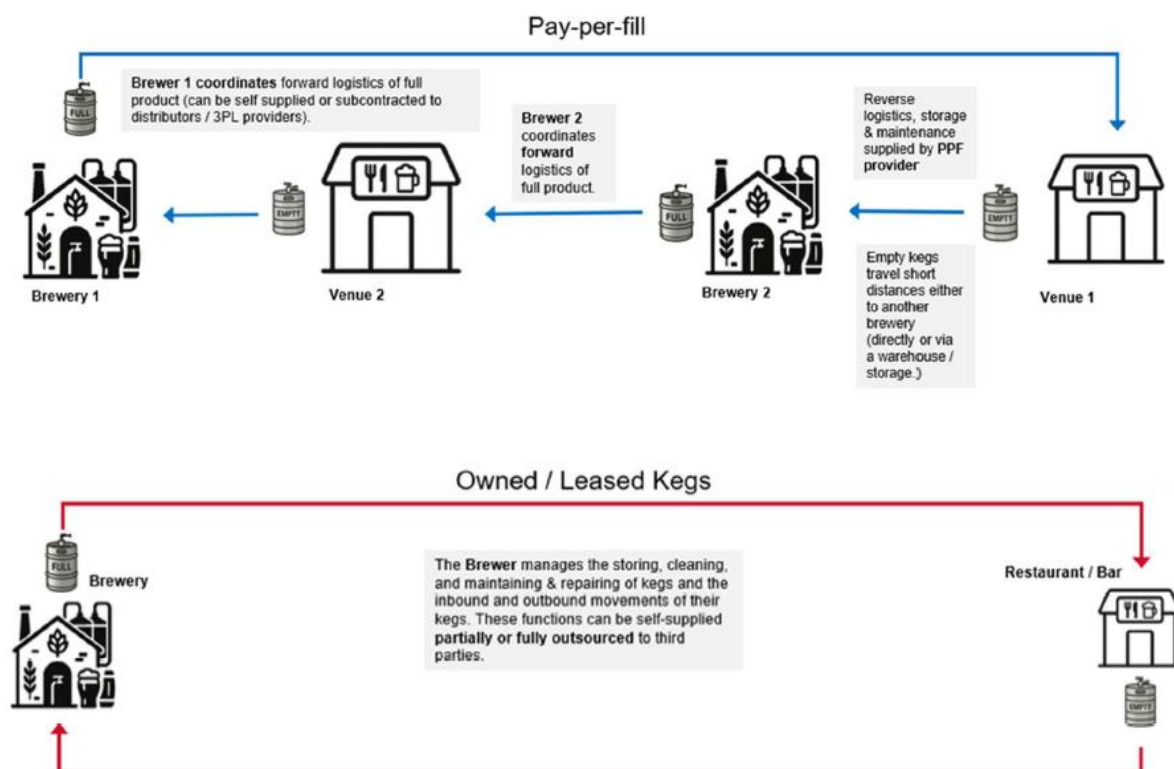
⁸ **[Redacted - confidential]**.

⁹ **[Redacted - confidential]**.

¹⁰ The usage of plastic kegs is considered in further detail at paragraph 6.10 below.

- 2.12. With keg pooling, customers clean and refill the kegs and generally use their preferred logistics provider to transport filled kegs to licensed venues (known as ‘forward logistics’).
- 2.13. Once the keg(s) have been emptied at the venue, the keg pooling service provider then organises the pick-up of empty kegs (known as ‘reverse logistics’). These kegs may be stored at a warehouse if required or otherwise delivered directly to customers (not necessarily the customer that last used the keg) for the cycle to repeat. Customers pay for this service based on the number of times they fill these kegs.

Figure 1: Keg pooling (blue) compared to self-supply (red)



Source: [Redacted - confidential].

Keg pooling services in Australia

- 2.14. Keg pooling services were introduced in Australia in December 2012 by Kegstar. Kegstar was founded by Adam Trippe-Smith.¹¹ At that time, the only option for brewers seeking to sell their product on tap was to own or lease kegs and coordinate logistics internally or outsource this function to logistics providers.¹² Kegstar’s model was attractive to brewers and by 2013 there were some customers relying solely on Kegstar for their keg needs.¹³

¹¹ [Redacted - confidential]; Brambles, Media Release, *Brambles Acquires 100% of Kegstar: Kegstar commences rapid global expansion*, 1 December 2015. 72969.001.073.0001.

¹² [Redacted - confidential].

¹³ [Redacted - confidential].

- 2.15. In 2014, the global supply-chain logistics company Brambles became a 30% shareholder in Kegstar.¹⁴ Brambles provided Kegstar financial support, supply-chain expertise and access to its global network.¹⁵
- 2.16. By the end of 2015, Kegstar had a pool of 50,000 kegs across three countries – Australia, New Zealand and the United Kingdom, with plans to expand into mainland Europe.¹⁶ At that time, Brambles acquired 100% of the Kegstar business from Adam Trippe-Smith and co-shareholder Shane Bradley.¹⁷
- 2.17. In 2017, Kegstar acquired Keg Lease Pty Ltd, a specialist keg leasing company focused on the Australian craft beer industry operating under the Bintani brand, from the Meddings family. Kegstar planned to incorporate Keg Lease's activities and existing keg fleet into Kegstar's operations to provide customers with the option of both keg pooling and keg leasing services.¹⁸ By that time, Kegstar had operations in the United Kingdom and Ireland and launched in the United States in April 2017.¹⁹
- 2.18. In 2019, Konvoy commenced providing keg pooling services in Australia and New Zealand.²⁰ The Konvoy business was started by Adam Trippe-Smith and Shane Bradley.²¹ It quickly began to win customers from Kegstar and grow its business.²² In 2020, Konvoy acquired Keg Services, a specialised keg repair, maintenance and sales business operating in Australia and New Zealand, from the Meddings family.²³
- 2.19. In 2021, MicroStar acquired the Kegstar business from Brambles.²⁴
- 2.20. In 2022, Konvoy announced a circa A\$10m investment to grow its Australian and New Zealand keg fleet. Konvoy also announced its expansion into the United Kingdom and Europe.²⁵ At the same time, Konvoy was making significant investments in developing tracking technology for kegs.²⁶

¹⁴ Kegstar, Media Release, *Brambles Acquires 100% of Kegstar: Kegstar commences rapid global expansion*, 1 December 2015. 72969.001.073.0001.

¹⁵ Kegstar, Media Release, *Brambles Acquires 100% of Kegstar: Kegstar commences rapid global expansion*, 1 December 2015. 72969.001.073.0001.

¹⁶ Kegstar, Media Release, *Brambles Acquires 100% of Kegstar: Kegstar commences rapid global expansion*, 1 December 2015. 72969.001.073.0001.

¹⁷ [Redacted - confidential]. Kegstar, Media Release, *Brambles Acquires 100% of Kegstar: Kegstar commences rapid global expansion*, 1 December 2015. 72969.001.073.0001.

¹⁸ Kegstar, Media Release, *Kegstar Acquires Keg Lease*, 25 July 2017. 72969.001.073.0001.

¹⁹ Kegstar, Media Release, *Kegstar Acquires Keg Lease*, 25 July 2017. 72969.001.073.0001.

²⁰ Konvoy, About Us, <https://www.konvoykegs.com/about>, accessed 22 July 2026.

²¹ Konvoy, About Us, <https://www.konvoykegs.com/about>, accessed 22 July 2026; [Redacted - confidential].

²² Konvoy, Media Release, *Konvoy Goes All In – Deepens Focus on Stainless Steel Kegs*, 1 October 2020, <https://brewsnews.com.au/acquisitive-konvoy-snaps-up-keg-services/>, accessed 22 July 2026.

²³ Konvoy, About Us, <https://www.konvoykegs.com/about>, accessed 22 July 2026; Konvoy, Media Release, *Konvoy Goes All In – Deepens Focus on Stainless Steel Kegs*, 1 October 2020, <https://brewsnews.com.au/acquisitive-konvoy-snaps-up-keg-services/>, accessed 22 July 2026.

²⁴ [Redacted - confidential].

²⁵ Konvoy, Media Release, *Konvoy Accelerates Growth, Appoints CFO & Announces UK/Europe Expansion*, 15 September 2022, <https://www.konvoykegs.com/news/konvoy-accelerates-growth-appoints-cfo-announces-uk-europe-expansion>, accessed 22 July 2026.

²⁶ Konvoy, Media Release, *Konvoy Group expands its IOT tracking offering with the acquisition of Portuguese based Analytics Technology*, 4 July 2022, <https://www.konvoykegs.com/news/acquisition-of-portuguese-based-analytics-technology>, accessed 22 July 2026. Konvoy, Media Release, *Konvoy launches multiple IoT tracked keg fleets in Europe and raises capital; European expansion is building momentum*, 30 October 2023, <https://www.konvoykegs.com/news/konvoy-launches-multiple-iot-tracked-keg-fleets-in-europe-and-raises-capital-european-expansion-is-building-momentum>, accessed 22 July 2026.

- 2.21. Konvoy sought additional capital to fund these investments and expansions, including from its secured lender, AquAsia, and private equity investors.²⁷ Ultimately, it was unable to secure the requisite capital and Konvoy entered into voluntary administration in March 2025. **[Redacted - confidential]**.²⁸ While initially signalling its support, AquAsia wrote to Konvoy on 5 March 2025 to advise that additional funding would not be provided.²⁹

3. Kegstar's Notification and the assessment process

Notification lodgement and timeline

- 3.1. Kegstar voluntarily notified the Acquisition on 6 February 2026. In accordance with section 51ABY of the Act, on 13 February 2026, the ACCC decided that the notification submitted on 6 February 2026 should be taken to not have an effective notification date because it was materially incomplete. On 20 February 2026, MicroStar provided additional information and documents in response to the ACCC's decision under section 51ABY of the Act. Accordingly, the effective notification date is 20 February 2026.³⁰
- 3.2. On 1 April 2026, the ACCC decided the notification would be subject to Phase 2 review and published its decision to this effect. On 13 May 2026, the ACCC provided its Notice of Competition Concerns (**NOCC**) for this matter to Kegstar. On 14 May 2026, the ACCC published a summary of the NOCC on the Acquisitions Register.
- 3.3. The ACCC is required to make its determination in relation to the Acquisition by 17 August 2026.

Market engagement and information gathering

- 3.4. Over the course of its assessment, the ACCC has engaged with, and received substantial submissions and information from Kegstar, Konvoy and its Receivers, McGrathNicol, the senior secured creditor, AquAsia, and customers and other interested parties.
- 3.5. In doing so, the ACCC gathered information on both a voluntary and compulsory basis, including:
- sending voluntary requests for information and documents;
 - issuing compulsory notices seeking the provision of information and production of documents under sections 155(1)(a) and (b) of the Act;
 - conducting voluntary interviews; and
 - conducting compulsory examinations of individuals under section 155(1)(c) of the Act.
- 3.6. To assist it with assessing the Acquisition, the ACCC also sought expert opinions from:

²⁷ **[Redacted - confidential]**.

²⁸ **[Redacted - confidential]**.

²⁹ **[Redacted - confidential]**.

³⁰ Act, s 51ABZA(5).

- Dr Luke Wainscoat, Principal at Brattle Group, who prepared expert reports dated 19 June 2026 (**Wainscoat Report**)³¹ and 22 July 2026 (**Supplementary Wainscoat Report**); and³²
- Michael Fung, Partner at KordaMentha, who prepared expert reports dated 8 July 2026 (**Fung Report**)³³ and 17 July 2026 (**Supplementary Fung Report**).³⁴

3.7. The ACCC has engaged with Kegstar, the Receivers of Konvoy, and the senior secured creditor of Konvoy, AquAsia, during its assessment including, but not limited to:

- considering Kegstar's initial submission, an expert report prepared by James Mellsop, Will Taylor, and Alex Crawley, economists at NERA, dated 5 February 2026 (**First NERA Report**),³⁵ and witness statements from Ben Phipps – ANZ General Manager, Kegstar³⁶ and Alex Barefoot – Director Financial Planning and Strategic Analysis, MicroStar,³⁷ which were provided on 5 February 2026;
- considering Kegstar's response to the NOCC dated 17 June 2026, including a proposed section 87B undertaking (**Proposed Undertaking**)³⁸ and a supplementary note by NERA to the First NERA Report dated 15 June 2026 (**Second NERA Report**),³⁹
- considering various submissions, reports and responses received from Kegstar and Konvoy's Receivers during the post-NOCC period, including responses to the Wainscoat Report, both the Fung and Supplementary Fung Reports, and submissions on forecast efficiencies;⁴⁰
- conducting a compulsory examination under section 155(1)(c) of the Act of an AquAsia staff member holding the position of Portfolio Manager.⁴¹ That Portfolio Manager oversees the Aquasia Private Investment Fund, through which AquAsia advanced the secured loan to Konvoy; and
- conducting compulsory examinations under section 155(1)(c) of the Act of McGrathNicol staff holding the following positions:
 - Partner, Advisory;⁴²
 - Partner, Restructuring.⁴³

3.8. The ACCC also took into account material provided by Kegstar, the Receivers, and Konvoy and other market participants and interested parties during the ACCC's informal review of the acquisition in 2025.

³¹ ACCC, *MicroStar Konvoy (Luke Wainscoat)*, 19 June 2026. 72969.001.051.0001.

³² ACCC, *MicroStar Konvoy (Luke Wainscoat – Supplementary Report)*, 22 July 2026. 72969.001.067.0001.

³³ ACCC, *MicroStar Konvoy (Michael Fung)*, 8 July 2026. 72969.001.053.0001.

³⁴ ACCC, *MicroStar Konvoy (Michael Fung – Supplementary Report)*, 17 July 2026. 72969.001.063.0001.

³⁵ [Redacted - confidential].

³⁶ [Redacted - confidential].

³⁷ [Redacted - confidential].

³⁸ [Redacted - confidential].

³⁹ [Redacted - confidential].

⁴⁰ [Redacted - confidential] (Third NERA Report); [Redacted - confidential]; [Redacted - confidential].

⁴¹ [Redacted - confidential].

⁴² [Redacted - confidential].

⁴³ [Redacted - confidential].

4. The statutory framework and required ACCC decision

- 4.1. Australia's new formal mandatory and suspensory merger control regime came into effect on 1 January 2026. The acquisition provisions in this regime apply to acquisitions of shares or assets of a corporation, as well as other types of legal rights.⁴⁴
- 4.2. Businesses that propose to give effect to an acquisition that meets the notification thresholds must notify it to the ACCC.⁴⁵ Businesses may also voluntarily notify an acquisition to the ACCC. Section 50 of the Act, which prohibits the acquisition of shares or assets that have the effect, or likely effect, of substantially lessening competition in any market, does not apply to notified acquisitions.
- 4.3. Kegstar voluntarily notified the Acquisition to the ACCC.
- 4.4. The ACCC is the administrative decision maker under the new formal merger regime and determines whether a notified acquisition may be put into effect or must not be put into effect.⁴⁶ A proposed acquisition that is required to be notified or has been notified is stayed until the ACCC or Australian Competition Tribunal determines that it may be put into effect.⁴⁷

Substantial lessening of competition test

- 4.5. The ACCC may determine that a proposed acquisition must not be put into effect only if it is satisfied that the acquisition, if put into effect, would, in all the circumstances, have the effect, or be likely to have the effect, of substantially lessening competition in any market.⁴⁸ The concept of lessening competition includes preventing or hindering competition.⁴⁹
- 4.6. The substantially lessening of competition test (**SLC test**) requires a focus on whether the effect or likely effect on competition of a proposed acquisition is substantial. This has been interpreted to mean an effect that is real or of substance, and therefore meaningful and relevant to the competitive process.⁵⁰
- 4.7. In the context of mergers, the SLC test is a forward-looking test that 'requires a comparison between the nature and extent of competition in the future with the acquisition and without the acquisition in any market potentially affected by the acquisition.'⁵¹
- 4.8. As is the case in this assessment, the ACCC recognises that there may be a number of possible future scenarios absent an acquisition. The ACCC's task is not to determine with certainty what will occur, but to assess the relative likelihood of alternative

⁴⁴ Act, s 51ABB(1).

⁴⁵ Act, s 51ABO.

⁴⁶ Act, s 51ABZE(1).

⁴⁷ Act, ss 51ABE and 51ABF.

⁴⁸ Act, s 51ABZE(2)(c).

⁴⁹ Act, s 4G.

⁵⁰ *Australian Competition and Consumer Commission v Pacific National Pty Limited* (2020) 277 FCR 49; [2020] FCAFC 77 (**ACCC v Pacific National FFC**), [104] (Middleton and O'Bryan JJ), and the cases cited therein.

⁵¹ *ACCC v Pacific National FFC*, [216] (Middleton and O'Bryan JJ).

commercially realistic scenarios and the competitive conditions that would arise under each. The ACCC does not treat remote, speculative or merely theoretical possibilities as relevant counterfactuals in its assessments, although it will consider multiple plausible scenarios where they are supported by the evidence.

- 4.9. In this context, when assessing the likely effect of a proposed acquisition, the decision maker must determine whether there is a *real commercial likelihood* of a substantial lessening of competition. As explained by the Federal Court, ‘the word ‘likely’ has to be applied at a level which is commercially relevant or meaningful as must be the assessment of the substantial lessening of competition under consideration’.⁵² It does not require proof that a substantial lessening of competition is more probable than not.
- 4.10. The Federal Court has said that the SLC test ‘ultimately poses *one* question involving one evaluative judgment’. It turns on satisfaction in relation to this single evaluative judgment. The exercise of determining whether the competitive effects of a transaction amount to a substantial lessening of competition involves multiple constituent inquiries, namely, identifying the futures with and without the transaction and the effects on competition of each, and then making the relevant comparison leading to answering that question.⁵³
- 4.11. In the context of the formal merger regime, this requires the ACCC, as the decision maker, to take into account all of the material before it, assess the weight to be given to that material and consider the potential effects on competition, both positive and negative, and the different degrees of likelihood of these effects. It is this assessment that informs the single evaluative judgement which the ACCC must make as to whether it is satisfied in all the circumstances that the proposed acquisition would have or would be likely to have the effect of substantially lessening competition. To be satisfied means the ACCC must have an affirmative belief about the requirements of the test in section 51ABZE(2)(c).⁵⁴

5. Parties’ submissions

- 5.1. During its consideration of the Acquisition, the ACCC received submissions from Kegstar, the Receivers on behalf of Konvoy, and the senior secured creditor, AquaAsia. Kegstar’s submissions covered the competitive effects of the Acquisition. The Receivers’ submissions focused on the likely counterfactual and the performance of the Konvoy business in receivership. AquaAsia’s submissions focused the sale process for Konvoy and the likely counterfactual.
- 5.2. Kegstar submitted in summary that the Acquisition will not substantially lessen competition in any market because:
- keg pooling service providers require economies of density in a given region;⁵⁵

⁵² *Australian Gas Light Company v Australian Competition & Consumer Commission (No 3)* (2003) 137 FCR 317; [2003] FCA 1525, [348] (French J, as his Honour then was), citing *Rural Press Limited v Australian Competition and Consumer Commission* (2003) 216 CLR 53; [2003] HCA 75, [41].

⁵³ *Australian Competition and Consumer Commission v Pacific National Pty Ltd (No 2)* [2019] FCA 669 (ACCC v *Pacific National FC*), [1276], approved by the majority in *ACCC v Pacific National FFC*, [246] (Middleton and O’Byrne JJ).

⁵⁴ See *BOY19 v Minister for Immigration and Border Protection* [2019] FCA 574, [55] (O’Byrne J), where his Honour considered the evidentiary burden of proof in the context of s 21(2)(h) of the *Australian Citizenship Act 2007* (Cth).

⁵⁵ [Redacted - confidential].

- Australia's population density is such that only one keg pooling service provider can attain the required economies of density to be profitable;⁵⁶
- therefore, the most likely counterfactual is Konvoy's exit, against which there could not be any lessening of competition;⁵⁷
- the Acquisition will deliver significant synergies, which are not available with any other purchaser;⁵⁸
- the most important and enduring competitive constraint on Kegstar is brewers' ability to self-supply;⁵⁹ and
- Kegstar will remain constrained by the threat of new entry because the inputs for keg pooling services are readily available and the Acquisition does not raise barriers to entry.⁶⁰

5.3. The Receivers submitted in summary that:

- [Redacted - confidential];⁶¹
- [Redacted - confidential];⁶²
- [Redacted - confidential];⁶³ and
- [Redacted - confidential].⁶⁴

5.4. The ACCC understands that the Parties' positions on each of the key issues set out in this Statement of Reasons are broadly as follows based on the submissions and evidence they have provided. These issues are discussed in more detail in the corresponding sections of the determination below.

Parties' submissions: Market definition

5.5. Both Kegstar and the Receivers submitted that the relevant frame of reference for assessing the Acquisition is a national market for the supply of 'keg logistics solutions' available to brewers. This includes both bundled solutions (i.e. keg pooling/PPF) and 'unbundled solutions'.⁶⁵ An unbundled solution is one where a brewer obtains access to their own kegs (either through ownership or leasing) and logistics (either in-house or outsourced) separately.

5.6. The Receivers noted that for brewers looking to distribute their beer to licensed venues, keg ownership and keg leasing are functionally equivalent to keg pooling services.⁶⁶ There are many ways for brewers to distribute their products including various keg options, serving tanks, cans and bottles. These options are used in proportions by brewers at the same time and compete against each other. Therefore, the market

⁵⁶ [Redacted - confidential].

⁵⁷ [Redacted - confidential].

⁵⁸ [Redacted - confidential].

⁵⁹ [Redacted - confidential].

⁶⁰ [Redacted - confidential].

⁶¹ [Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential].

⁶² [Redacted - confidential].

⁶³ [Redacted - confidential].

⁶⁴ [Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential].

⁶⁵ [Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential].

⁶⁶ [Redacted - confidential].

should be defined more broadly than keg pooling services to include other distribution methods.⁶⁷

Parties' submissions: Future with and without the acquisition

5.7. In the future without the Acquisition, Kegstar submitted that Konvoy will exit the market for the supply of 'keg logistics solutions' because the Australian market cannot sustain two keg pooling service providers.⁶⁸ **[Redacted - confidential]**.⁶⁹

5.8. Alternatively, in the future without the Acquisition, in Kegstar's view, Konvoy could be purchased as a going concern and seek to raise prices to an economically sustainable level.⁷⁰ The most likely counterfactual is the Konvoy exit counterfactual, because prices cannot rise much without material substitution to unbundled solutions.⁷¹

5.9. In the future without the Acquisition, the Receivers submitted that **[Redacted - confidential]**.⁷²

5.10. In an alternative liquidation scenario, Kegstar submitted that Konvoy's kegs would likely be dispersed among multiple buyers, including corporate brewers such as Lion and CUB for use in their own operations or overseas buyers seeking to use the kegs in other markets, and so would not be available for keg pooling services in Australia.⁷³

5.11. The Receivers submitted that **[Redacted - confidential]**.⁷⁴ If Konvoy goes into liquidation, **[Redacted - confidential]**.⁷⁵

5.12. The Receivers submitted that in a liquidation scenario **[Redacted - confidential]**.⁷⁶

Parties' submissions: Competitive effects

Competition between Kegstar and Konvoy

5.13. Kegstar submitted that Kegstar and Konvoy are not each other's closest competitor. Despite the similarity of their service offerings, the primary competitive constraint on Kegstar is the cost to customers of achieving the same functional outcome through alternative arrangements.⁷⁷ Such alternatives include self-supply of kegs and associated logistics, serving tanks, or plastic kegs.⁷⁸

5.14. The Receivers submitted that **[Redacted - confidential]**.⁷⁹

⁶⁷ **[Redacted - confidential]**.

⁶⁸ **[Redacted - confidential]**.

⁶⁹ **[Redacted - confidential]**.

⁷⁰ **[Redacted - confidential]**.

⁷¹ **[Redacted - confidential]**; **[Redacted - confidential]**.

⁷² **[Redacted - confidential]**; **[Redacted - confidential]**.

⁷³ **[Redacted - confidential]**.

⁷⁴ **[Redacted - confidential]**; **[Redacted - confidential]**.

⁷⁵ **[Redacted - confidential]**; **[Redacted - confidential]**.

⁷⁶ **[Redacted - confidential]**; **[Redacted - confidential]**.

⁷⁷ **[Redacted - confidential]**.

⁷⁸ **[Redacted - confidential]**.

⁷⁹ **[Redacted - confidential]**.

Competitive constraints

- 5.15. Both Kegstar and the Receivers submitted that brewers of all sizes can and do self-supply kegs and the associated logistics. That brewers have in the past, prior to the entry of Kegstar, self-supplied indicates that they can do so and will do so if commercially incentivised to.⁸⁰ A keg pooling service provider does compete against other keg pooling services providers where they exist, but is also competing against the cost to brewers of self-supply.⁸¹
- 5.16. Kegstar submitted that as Konvoy's ability to constrain Kegstar has been diminishing,⁸² Kegstar's pricing will ultimately be constrained by the risk that brewers switch to owning or leasing kegs, using plastic kegs, or cans and/or bottles.⁸³

The likelihood of sufficient and timely new entry

- 5.17. Both Kegstar and the Receivers submitted that there are no barriers to purchasing or leasing kegs and acquiring logistics services, and the Acquisition does not alter access to those inputs.⁸⁴
- 5.18. Kegstar submitted that the Acquisition does not materially alter the ability or incentive of an alternative supplier in an 'adjacent market' that might be able to achieve some synergies by offering keg pooling services in addition to its existing service lines, to enter. If such an alternative supplier exists, then entry would become more likely if Kegstar sought to raise its prices above competitive levels. The threat of such entry acts as a long-run pricing discipline on Kegstar.⁸⁵
- 5.19. Kegstar submitted that to sustainably enter, a keg pooling service provider must achieve sufficient economies of density in a given region, so as to be price competitive with self-supply and earn a sufficient margin to be profitable in the long term. The Australian market cannot sustain two keg pooling service providers.⁸⁶
- 5.20. The Receivers submitted that there is potential that **[Redacted - confidential]**.⁸⁷ Given that the **[Redacted - confidential]**, the Receivers further submitted that in their view, it is **[Redacted - confidential]**.⁸⁸

6. Market definition

The ACCC's approach to market definition

- 6.1. Market definition is a purposive tool used to help assess whether an acquisition might have anti-competitive effects. The purpose of defining the relevant market in assessing the acquisition is to identify the most important competitive constraints on the merger

⁸⁰ **[Redacted - confidential];[Redacted - confidential]**.

⁸¹ **[Redacted - confidential]; [Redacted - confidential]**.

⁸² **[Redacted - confidential]**.

⁸³ **[Redacted - confidential]**.

⁸⁴ **[Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential]**.

⁸⁵ **[Redacted - confidential]**.

⁸⁶ **[Redacted - confidential]**.

⁸⁷ **[Redacted - confidential]**.

⁸⁸ **[Redacted - confidential]**.

parties evident from the competition assessment. There may be no bright line that can be drawn around a market, and the relevant market that is identified for the purposes of the assessment is not intended to be determinative of the ACCC's competition assessment in a mechanistic way.⁸⁹

- 6.2. The ACCC's starting point for delineating relevant markets is to identify the products and geographic regions actually or potentially supplied by the merger parties and focusing on the overlaps between the products or geographic regions supplied by the merger parties. The ACCC then considers if any other products and geographic regions constitute relevant close substitutes.
- 6.3. The ACCC uses a framework called the Hypothetical Monopolist Test to assess whether substitutes are sufficiently close to be included in the relevant market. The relevant question is whether a hypothetical current and future profit-maximising monopolist could effectively exercise market power by profitably imposing a small but significant and non-transitory increase in price (**SSNIP**) over the focal product (or group of products) and geographic area. If a hypothetical monopolist supplier of this product cannot profitably institute a SSNIP because customers would switch to alternative products in sufficient quantity to render the price increase unprofitable, the next closest demand substitute is added. The collection of products and/or geographies is expanded until a hypothetical monopolist supplier could profitably institute a SSNIP over the focal product(s).
- 6.4. The ACCC considers that, for the purposes of assessing the Acquisition, the relevant area of competition is the supply of keg pooling services in Australia. As noted above, market definition is a purposive tool. While the ACCC considers that this market definition best reflects the most important competitive constraint on Kegstar, the ACCC's assessment considers all relevant competitive constraints. Whether a particular source of competitive constraint is considered within market definition, or within the competition assessment sections below, does not determine the ACCC's overall assessment.

Product market

- 6.5. The Parties both offer keg pooling services to customers in Australia. In considering the relevant product market, the ACCC has assessed the extent to which keg pooling services, self-supply of kegs and logistics services, and the use of plastic kegs, serving tanks, and bottles and cans are likely to be substitutes.
- 6.6. The ACCC considers that there is limited substitution between keg pooling services and alternative solutions including self-supply of kegs, plastic kegs, serving tanks and cans/bottles. Brewers would be unlikely to switch sufficient volumes to these alternatives in response to a SSNIP, and the ACCC considers that these alternatives are not included in the relevant market. These issues are considered in detail below.
- 6.7. The Parties also both offer longer-term keg leasing, however this offering represents a much smaller aspect of both businesses than keg pooling services. The ACCC considers longer-term keg leasing is not part of the relevant product market.

⁸⁹ ACCC, *Merger Assessment Guidelines*, 20 June 2025, p. 51.

Self-supply

- 6.8. Kegstar submitted that it is appropriate to consider the Acquisition in the context of a national market for 'keg logistics solutions' that comprises both keg pooling services and self-supply, on the basis that a hypothetical monopolist for keg pooling services could not profitably impose a SSNIP because brewers would switch to (or at least increase their use of) self-supply.
- 6.9. The ACCC considers the threat of self-supply to be a form of countervailing power, rather than a substitute product or service that sits either outside of or within the same product market. As outlined in the ACCC's merger guidelines, 'Countervailing power might exist when a customer can credibly threaten to bypass the merged firm, such as by [...] self-supplying'.⁹⁰ The potential constraint from self-supply is considered in detail in the competition assessment at 8.30. In any case, whether self-supply is considered as a source of countervailing power rather than part of the relevant product market is not determinative of the ACCC's competition assessment.

Plastic kegs

- 6.10. While not as common as steel kegs in Australia, Kegstar submitted that the use of plastic kegs is growing in Australia, particularly among ready-to-drink and wine producers.⁹¹ Kegstar also submitted that competition from plastic kegs as an alternative to keg logistics solution will continue to increase because plastic keg suppliers have recently introduced plastic kegs with the same valve as standard steel kegs used in Australia, making switching easier for brewers.⁹²
- 6.11. The ACCC considers that plastic kegs are not close substitutes for keg pooling services. While their single-use nature eliminates the need for reverse logistics, cleaning and maintenance, there are a number of reasons why brewers and venues would not consider using them in place of keg pooling services, including safety concerns, environmental concerns,⁹³ beer quality and flavour, poor temperature control, and commercial sustainability.⁹⁴

Cans and bottles

- 6.12. Some brewers sell beverages (including beer and/or cider) in bottles and cans, which can be sold both to licensed venues to be consumed on-premise or through retail channels.
- 6.13. Kegstar submitted that cans and bottles are an important route to market for independent brewers.⁹⁵ Kegstar submitted that, in the years since COVID, third-party providers have invested in canning and bottling lines, enabling brewers to supply packaged products for retail channels or on-premise consumption. The Receivers

⁹⁰ ACCC, *Merger Assessment Guidelines*, 20 June 2025. p. 43.

⁹¹ [Redacted - confidential].

⁹² [Redacted - confidential].

⁹³ [Redacted - confidential].

⁹⁴ [Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential].

⁹⁵ [Redacted - confidential].

submitted that bottles and cans impose competitive constraint on keg pooling services because they can be sold on- and off-premises, in smaller volumes than a keg.⁹⁶

6.14. The ACCC considers that these are not close substitutes for keg pooling services, because brewers and venues would not be able to replace keg pooling services with cans or bottles for the same volumes in response to a SSNIP for the following reasons:

- excise tax rates on packaged alcoholic beverages (e.g. in cans and bottles) are significantly higher than kegged alcoholic beverages;⁹⁷
- on a per litre basis, packaged alcoholic beverages are higher cost and lower margin for brewers;⁹⁸ and
- customers are unlikely to be able to divert material volumes away from kegged alcoholic beverages sold in licensed venues to cans and bottles because smaller brewers sell lower volumes of packaged alcoholic beverages because routes to market are harder to access, and cans and bottles only represent a relatively small volume of on-premise beer and cider.⁹⁹

Serving tanks

6.15. Serving tanks are large stainless-steel vessels that dispense beer directly to taps. They are more commonly used in brewpubs or taprooms but are less common in pubs that do not brew beer onsite.

6.16. While serving tanks can be used to serve beer through taps, brewers indicate that the licensed venues must be specifically designed to accommodate them. Brewers consider that while serving tanks can negate the need for a brewer to organise reverse logistics of kegs, the use of serving tanks in a taproom requires significant capital investment.¹⁰⁰

6.17. On this basis, the ACCC considers serving tanks are not close substitutes for keg pooling services. Brewers would be largely constrained from switching to using serving tanks because, unlike kegs, they do not represent a viable option to supply beer to most licensed venues.

Geographic dimension

6.18. In considering the relevant geographic market, the ACCC has considered the location of the brewers that utilise keg pooling services and the network of venues that they service.

6.19. The ACCC considers that the geographic market is likely to be Australia-wide, since both Parties provide keg pooling services nationally. The Parties also submitted that the relevant geographic market is Australia-wide.

⁹⁶ [Redacted - confidential].

⁹⁷ The Hon Anthony Albanese MP and The Hon Dr Jim Chalmers MP, *Albanese Labor Government to Freeze Draught Beer Excise*, 1 March 2025; ATO, *Excise duty rates for alcohol*, 28 January 2026, 'Alcohol rates for beer'.

⁹⁸ [Redacted - confidential].

⁹⁹ [Redacted - confidential].

¹⁰⁰ [Redacted - confidential].

7. Future with and without the acquisition

- 7.1. The ACCC has considered the effects of the Acquisition by comparing the likely future state of competition if the Acquisition proceeds (the factual) against the likely future state of competition if the Acquisition does not proceed (the counterfactual). The counterfactual assessment is a tool of analysis to assist the ACCC in considering whether it is likely that the Acquisition would result in a substantial lessening of competition.
- 7.2. Each of Kegstar, Konvoy, and the senior secured creditor have submitted that in the future without the Acquisition, it is unlikely that a purchaser other than MicroStar would acquire Konvoy or its assets. Based on the evidence before it, the ACCC considers that there are likely to be various commercially realistic pathways through which Konvoy's business, or assets, would continue to be used to compete with Kegstar in the market for keg pooling services in the absence of the Acquisition.
- 7.3. While the ACCC accepts that Konvoy is experiencing significant financial distress and, beyond the short-term, is unlikely to continue in its current form without a transaction, the ACCC considers that absent the Acquisition, there is a real prospect that the Receivers would undertake a rapid and targeted process to determine whether a sale of the business or its assets to an alternative purchaser could be achieved, prior to any liquidation outcome occurring.
- 7.4. Although such a process may require short-term funding from the secured creditor or prospective purchasers, the ACCC considers that there is a reasonable basis to expect that such funding would be made available, given the commercial incentives to realise value through a sale process as compared to liquidation. If that process did not result in an acceptable transaction, then the ACCC considers it likely that liquidation would follow. Even in liquidation, the ACCC considers that there is a real prospect that all, or at least some, of Konvoy's retrievable assets would be realised and acquired by one or more purchasers for use in keg pooling, rather than being abandoned or exiting the market entirely.
- 7.5. In considering these issues, the ACCC has been assisted by three reports prepared by NERA, as well as the Wainscoat Report, the Supplementary Wainscoat Report, the Fung Report and the Supplementary Fung Report. The ACCC has also been assisted by the Parties' submission, and by a wide range of evidence obtained from the Parties, including documentary evidence obtained under sections 155(1)(a) and (b) of the Act and oral evidence obtained under section 155(1)(c) of the Act, as well as evidence obtained from customers and other market participants.

The relevance of the current state of Konvoy

- 7.6. Consideration of the likely future state of competition absent the Acquisition has been a central inquiry in the ACCC's assessment. As part of that inquiry, the financial position of Konvoy, and the extent to which that position has deteriorated over time, has been the subject of substantial evidence and submissions from the Parties. A key issue raised in those submissions is the significance of Konvoy's current circumstances for the assessment of the likely future without the acquisition, including its financial performance during the course of an extended receivership process.

- 7.7. The Receivers submitted that **[Redacted - confidential]**.¹⁰¹ In particular, the Receivers state that **[Redacted - confidential]**.¹⁰² According to the Receivers, **[Redacted - confidential]**.¹⁰³
- 7.8. The Receivers further submitted that **[Redacted - confidential]**.¹⁰⁴ The ACCC accepts that **[Redacted - confidential]** and that its present circumstances are relevant to the assessment of the likely future without the Acquisition. MicroStar has submitted that **[Redacted - confidential]**.¹⁰⁵ MicroStar further submitted that the constraint posed by Konvoy has proven to be transient and unsustainable, and is not reflective of the constraint that would prevail under any realistic counterfactual.¹⁰⁶
- 7.9. Accordingly, given the Parties' submissions on this issue, the ACCC has considered the Konvoy sale process in some detail in this section, including the implications of the sale process for Konvoy's current position.

Sale process

- 7.10. On 11 March 2025, Konvoy was placed in voluntary administration and receivership. Messrs Hill, Hansell and Harlond of FTI Consulting (the **Administrators**) were appointed as the administrators and Messrs Crawford and Smith of McGrathNicol were appointed as the receivers and managers of Konvoy. The Receivers were appointed by AquAsia, the senior secured creditor of Konvoy.
- 7.11. The Receivers undertook a sale process in respect of Konvoy's assets immediately following their appointment. That process was conducted as follows:
- **[Redacted - confidential]**.¹⁰⁷
 - The Receivers advertised the sale process in the Australian Financial Review.¹⁰⁸
 - The Receivers made outbound communications to their known contacts and also received inbound communications.
 - Potential interested parties were issued with a sale process letter and non-binding indicative offers were requested to be submitted by 2 April 2025.¹⁰⁹
 - Phase 1 due diligence commenced with interested parties conducting due diligence by reviewing information in a virtual data room (**VDR**) in order to submit non-binding indicative offers (**NBIOs**).¹¹⁰ The Receivers had inbound or outbound contact with a significant number of parties, a majority of whom executed non-disclosure agreements to obtain access to the VDR.¹¹¹

¹⁰¹ **[Redacted - confidential]**.

¹⁰² **[Redacted - confidential]**.

¹⁰³ **[Redacted - confidential]; [Redacted - confidential]**.

¹⁰⁴ **[Redacted - confidential]**.

¹⁰⁵ **[Redacted - confidential]**.

¹⁰⁶ **[Redacted - confidential]**.

¹⁰⁷ **[Redacted - confidential]**.

¹⁰⁸ **[Redacted - confidential]**.

¹⁰⁹ **[Redacted - confidential]**.

¹¹⁰ **[Redacted - confidential]**.

¹¹¹ **[Redacted - confidential]**. See **[Redacted - confidential]**.

- On 7 April 2025, the Receivers provided a summary of NBIOs received by the senior secured creditor. Multiple NBIOs were received.¹¹² One NBIO was from MicroStar. **[Redacted - confidential]**.¹¹³
- At the end of Phase 1, parties who submitted NBIOs (or communicated an intention to bid in the immediate term) were progressed to Phase 2 of the sale process (Shortlisted Bidders).¹¹⁴
- On 14 April 2025, the Shortlisted Bidders were issued with a Phase 2 sale process letter. Final Binding Offers were requested by Friday 16 May 2025.¹¹⁵
- **[Redacted - confidential]**.¹¹⁶
- **[Redacted - confidential]**.¹¹⁷
- In Phase 2, Shortlisted Bidders were granted access to further due diligence before finalising their offer and binding transaction documents. The Receivers facilitated a Q&A process with Konvoy management and bidders met with Konvoy management. Site visits were facilitated for selected parties.¹¹⁸

7.12. The Receivers prepared a further receivership and sale process update dated 2 May 2025, two weeks prior to the last date for binding offers from Shortlisted Bidders. That update stated that the Receivers were '**[Redacted - confidential]**.'¹¹⁹ **[Redacted - confidential]**.¹²⁰

- **[Redacted - confidential]**.¹²¹
- **[Redacted - confidential]**.
- **[Redacted - confidential]**.¹²²
- **[Redacted - confidential]**.¹²³
- On 2 June 2025, on instruction from AquAsia, the Receivers selected MicroStar as the preferred bidder. On the same day, the Receivers notified the remaining bidders that they would not be progressing their bids further at this time.¹²⁴
- **[Redacted - confidential]**.¹²⁵ **[Redacted - confidential]**.¹²⁶ **[Redacted - confidential]**.¹²⁷

¹¹² **[Redacted - confidential]**. See **[Redacted - confidential]**; **[Redacted - confidential]**.

¹¹³ **[Redacted - confidential]**; **[Redacted - confidential]**. **[Redacted - confidential]**

¹¹⁴ **[Redacted - confidential]** **[Redacted - confidential]**.

¹¹⁵ **[Redacted - confidential]**.

¹¹⁶ **[Redacted - confidential]**.

¹¹⁷ **[Redacted - confidential]**.

¹¹⁸ **[Redacted - confidential]**.

¹¹⁹ **[Redacted - confidential]**.

¹²⁰ **[Redacted - confidential]**.

¹²¹ **[Redacted - confidential]**; **[Redacted - confidential]**.

¹²² **[Redacted - confidential]**.

¹²³ **[Redacted - confidential]**.

¹²⁴ **[Redacted - confidential]**. See **[Redacted - confidential]**.

¹²⁵ **[Redacted - confidential]**.

¹²⁶ **[Redacted - confidential]**.

¹²⁷ **[Redacted - confidential]**.

ACCC informal review process

- 7.13. In June 2025, the ACCC began a review of the Acquisition under the informal merger review process. The ACCC published a Statement of Issues in August 2025 outlining concerns regarding unilateral effects in the supply of keg pooling services.¹²⁸ On 23 October 2025, the ACCC announced its decision to oppose the Acquisition.¹²⁹ The ACCC's four-month investigation found that MicroStar acquiring the assets of Konvoy, the only other provider of keg pooling services in Australia, would be likely to substantially lessen competition.¹³⁰
- 7.14. Following the ACCC's informal review decision, multiple parties contacted the Receivers and expressed interest in Konvoy.¹³¹ This included both parties that had participated in the sale process and parties that had not participated.
- 7.15. **[Redacted - confidential]**.¹³² **[Redacted - confidential]**.¹³³ The Receivers **[Redacted - confidential]**.¹³⁴
- 7.16. With the support of AquAsia, in December 2025, the Parties agreed to amend the Asset Sale Agreement, so as to extend the sunset date.¹³⁵ On the face of the Asset Sale Agreement, if the Parties had not agreed to extend the sunset date, **[Redacted - confidential]**.¹³⁶ **[Redacted - confidential]**.
- 7.17. **[Redacted - confidential]**.¹³⁷
- 7.18. Further, AquAsia instructed the Receivers that if **[Redacted - confidential]**.¹³⁸
- 7.19. By the time of the amendments to the Asset Sale Agreement in December 2025, Konvoy had already been in receivership for over 9 months. During that time, the Receivers submitted to the ACCC that it had **[Redacted - confidential]**.¹³⁹
- 7.20. On 14 January 2026, a deed of company arrangement was executed in respect of Konvoy, and Messrs Hill, Hansell and Harlond of FTI Consulting became the deed administrators.¹⁴⁰

¹²⁸ ACCC, *Statement of Issues*, 14 August 2025. 72969.001.007.1325.

¹²⁹ ACCC, *ACCC opposes keg pooling supplier MicroStar's proposed acquisition of Konvoy assets*, 23 October 2025. 72969.001.046.0366.

¹³⁰ ACCC, *ACCC opposes keg pooling supplier MicroStar's proposed acquisition of Konvoy assets*, 23 October 2025. 72969.001.046.0366.

¹³¹ Following the decision, **[Redacted - confidential]**. **[Redacted - confidential]**.

¹³² **[Redacted - confidential]**.

¹³³ **[Redacted - confidential]**.

¹³⁴ **[Redacted - confidential]**.

¹³⁵ At that time, the sunset date of the Asset Sale Agreement was extended to **[Redacted - confidential]**. See **[Redacted - confidential]**.

¹³⁶ **[Redacted - confidential]**.

¹³⁷ **[Redacted - confidential]**.

¹³⁸ **[Redacted - confidential]**.

¹³⁹ **[Redacted - confidential]**.

¹⁴⁰ **[Redacted - confidential]**.

Factors contributing to Konvoy's current position

- 7.21. The evidence before the ACCC indicates that circumstances in which Konvoy now finds itself developed in the context of decisions made during the receivership process. That history is relevant to the ACCC's forward-looking assessment because the Parties rely on Konvoy's recent financial performance and the purported absence of alternative purchasers to contend that **[Redacted - confidential]** and is unlikely to remain viable. In assessing those contentions, it is necessary to consider whether Konvoy's current position provides a reliable evidentiary basis for conclusions about its future prospects.
- 7.22. In that regard, the evidence before the ACCC indicates that the financial circumstances now relied upon by the Parties did not arise completely independently of decisions taken during the receivership period. Rather, they arose, at least in part, as a result of a series of decisions by the senior secured creditor to pursue and maintain a sale to the only other provider of keg pooling services in Australia, notwithstanding the apparent and identified questions as to impact on competition associated with such a transaction.
- 7.23. Those questions as to impact on competition **[Redacted - confidential]**.¹⁴¹ The evidence demonstrates that, while the initial sale process **[Redacted - confidential]**,¹⁴² the senior secured creditor ultimately elected to proceed with a transaction that effectively depended upon obtaining merger clearance for the acquisition of Konvoy's assets by its only direct competitor. In circumstances where the prospect of requirement to notify, assessment of competition impact and need for ACCC approval was known and foreseeable, the senior secured creditor nevertheless chose to pursue that course.
- 7.24. Importantly, the ACCC's decision to oppose in October 2025 did not mark the end of potential alternatives. The evidence indicates that following that decision, multiple parties expressed interest in Konvoy.¹⁴³ However, **[Redacted - confidential]**.¹⁴⁴ Instead, the senior secured creditor supported the Receivers' continued pursuit of the opposed transaction, agreed to the Receivers extending the Asset Sale Agreement, and made clear to the Receivers that **[Redacted - confidential]**.¹⁴⁵
- 7.25. In considering the implications of the sale process, and the decisions made by the Receivers and the senior secured creditor, that ACCC has considered reports from Mr Fung and submissions from the Receivers and the senior secured creditor, on the roles and duties of the Receivers throughout the process.
- 7.26. The ACCC notes the opinion expressed in the Fung Report that the Receivers acted consistently with their statutory duties in conducting the receivership and sale process.¹⁴⁶ In particular, the Fung Report noted Mr Fung's opinion that the sale process undertaken by the Receivers is reflective of their attention to obligations under section 420A of the Corporations Act, and sufficient opportunity was provided for interested parties to engage in the transaction process.¹⁴⁷

¹⁴¹ **[Redacted - confidential]**.

¹⁴² **[Redacted - confidential]**.

¹⁴³ Following the decision, **[Redacted - confidential]**. **[Redacted - confidential]**.

¹⁴⁴ **[Redacted - confidential]**.

¹⁴⁵ **[Redacted - confidential]**.

¹⁴⁶ ACCC, *MicroStar Konvoy (Michael Fung)*, 8 July 2026, pp. 12-14. 72969.001.053.0001.

¹⁴⁷ ACCC, *MicroStar Konvoy (Michael Fung)*, 8 July 2026, p. 16. 72969.001.053.0001.

- 7.27. The ACCC also notes, this opinion does not address the separate commercial decisions made by the senior secured creditor through the sale and regulatory process. On the evidence before the ACCC, there were multiple junctures throughout the sale and regulatory process where the senior secured creditor could have pursued alternative courses that did not raise the same degree of question as to competitive impact. It instead elected to commit to a transaction which depended on competition clearance to proceed, despite the substantial questions as to impact on competition that such a transaction was likely to present.
- 7.28. The ACCC does not suggest that the senior secured creditor was required to pursue any particular course. However, where the Parties rely on Konvoy's **[Redacted - confidential]**, it is relevant to consider the circumstances in which those conditions arose. In particular, the business has been subject to an extended period of receivership, during which alternative sale pathways were not fully pursued and the focus remained on a transaction with the only other provider of keg pooling services in Australia.¹⁴⁸
- 7.29. The evidence indicates that the senior secured creditor elected to pursue a transaction requiring notification, detailed assessment of impact on competition and ACCC approval, rather than alternative sale pathways. As noted above, that history is relevant because it bears upon what can reliably be inferred from Konvoy's current position. While the ACCC accepts that its assessment of the likely future without the Acquisition must take full account of Konvoy's current position, the ACCC does not consider that the business's prolonged receivership **[Redacted - confidential]** provides a reliable basis to conclude that Konvoy would be unable to continue operating, achieve stronger trading performance, or attract alternative ownership in the future without the Acquisition. Rather, those circumstances inform the ACCC's assessment of the counterfactual evidence provided by the Receivers and the senior secured creditor regarding the likely counterfactual, including the weight that can be given to that evidence.

Future without the Acquisition

- 7.30. Kegstar has submitted that a historic lack of profitability among PPF providers implies the Australian market cannot sustain two PPF providers, and the most likely counterfactual to the Acquisition is Konvoy exiting the market.¹⁴⁹ In support of this submission, Kegstar provided the First NERA Report which concludes that:
- **[Redacted - confidential]**,¹⁵⁰
 - the Australian market cannot sustainably support two national pooled keg providers;¹⁵¹
 - **[Redacted - confidential]**.¹⁵²
- 7.31. The Second NERA report, which utilises updated information regarding Kegstar's customer wins from Konvoy between November 2025 to May 2026, states that this updated data:

¹⁴⁸ **[Redacted - confidential]**.

¹⁴⁹ **[Redacted - confidential]**; **[Redacted - confidential]**

¹⁵⁰ **[Redacted - confidential]**.

¹⁵¹ **[Redacted - confidential]**.

¹⁵² **[Redacted - confidential]**.

- supports NERA's view that '[Redacted - confidential]';¹⁵³
- implies that Konvoy's competitive influence continues to diminish, since the data shows [Redacted - confidential];¹⁵⁴
- indicates that Konvoy has lost approximately [Redacted - confidential] of its expected 2026 volumes to Kegstar since October 2025.¹⁵⁵

7.32. The Receivers submitted that [Redacted - confidential].¹⁵⁶ To that end, the Receivers submitted that [Redacted - confidential].¹⁵⁷ In particular:

- [Redacted - confidential];¹⁵⁸
- [Redacted - confidential];¹⁵⁹
- [Redacted - confidential];¹⁶⁰ and
- [Redacted - confidential].¹⁶¹

7.33. The Receivers further submitted that, [Redacted - confidential].¹⁶²

7.34. The senior secured creditor (AquAsia) submitted that in the future without the Acquisition, [Redacted - confidential].¹⁶³

7.35. In particular, an AquAsia staff member holding the position of Portfolio Manager (the **Portfolio Manager**) (overseeing the Aquasia Private Investment Fund, through which AquAsia advanced the secured loan to Konvoy) gave evidence in a compulsory examination by the ACCC to the effect that:

- [Redacted - confidential];¹⁶⁴
- [Redacted - confidential];¹⁶⁵ [Redacted - confidential];¹⁶⁶
- [Redacted - confidential].¹⁶⁷ Given that, the likely outcome of any renewed engagement with potential purchasers would be [Redacted - confidential];¹⁶⁸
- [Redacted - confidential].¹⁶⁹

7.36. The ACCC has closely considered the evidence and information provided by the Parties and other interested persons, and sets out its consideration of this material and the relevant issues below.

¹⁵³ [Redacted - confidential].

¹⁵⁴ [Redacted - confidential].

¹⁵⁵ [Redacted - confidential].

¹⁵⁶ [Redacted - confidential]

¹⁵⁷ [Redacted - confidential]

¹⁵⁸ [Redacted - confidential]

¹⁵⁹ [Redacted - confidential]

¹⁶⁰ [Redacted - confidential]

¹⁶¹ [Redacted - confidential]

¹⁶² [Redacted - confidential].

¹⁶³ [Redacted - confidential].

¹⁶⁴ [Redacted - confidential]; [Redacted - confidential].

¹⁶⁵ [Redacted - confidential]; [Redacted - confidential]

¹⁶⁶ [Redacted - confidential]; [Redacted - confidential]

¹⁶⁷ [Redacted - confidential].

¹⁶⁸ [Redacted - confidential].

¹⁶⁹ [Redacted - confidential].

The potential for a rapid, targeted sale process

- 7.37. The ACCC considers that if the Acquisition does not proceed, there is a real prospect that the Receivers (on instruction from the senior secured creditor) undertake a targeted process involving direct bilateral engagement with known interested parties. As discussed above at 7.4, the ACCC considers that there is a reasonable basis to expect that short-term funding from the secured creditor or prospective purchasers is likely to be made available given the commercial incentive to realise value through a sale process rather than liquidation.
- 7.38. The Receivers have already run an extensive market process, as outlined above. **[Redacted - confidential]**.¹⁷⁰
- 7.39. As outlined above, the Portfolio Manager gave evidence in a compulsory examination regarding the steps the senior secured creditor would be likely to take if the ACCC were to determine that the Acquisition must not be put into effect. The Portfolio Manager stated that **[Redacted - confidential]**¹⁷¹ and that **[Redacted - confidential]**.¹⁷² This was said to be an attractive course because **[Redacted - confidential]**.¹⁷³ In effect, the Portfolio Manager expressed a preference for a course of action that would allow **[Redacted - confidential]**.
- 7.40. This evidence supports the Receivers' and the senior secured creditor's submission that **[Redacted - confidential]**. However, while the ACCC considers that the senior secured creditor's intentions are relevant to the assessment of the likely future without the Acquisition, it does not consider that this evidence provides a reliable basis to conclude that Konvoy would be unable to continue to operate absent the Acquisition.
- 7.41. The ACCC places limited weight on the Portfolio Manager's evidence as to the likely future absent the Acquisition. During his compulsory examination, the Portfolio Manager **[Redacted - confidential]**¹⁷⁴ In particular, although the Portfolio Manager **[Redacted - confidential]**,¹⁷⁵ he was unable to provide a satisfactory explanation for why **[Redacted - confidential]**.¹⁷⁶ When pressed on this issue, the Portfolio Manager ultimately **[Redacted - confidential]**.¹⁷⁷
- 7.42. In those circumstances, the ACCC considers that the Portfolio Manager's evidence provides limited assistance in **[Redacted - confidential]**. While the evidence may demonstrate **[Redacted - confidential]**.
- 7.43. In any event, consistent with the senior secured creditor's overriding commercial objective being to maximise returns for its investors,¹⁷⁸ the Portfolio Manager ultimately conceded that **[Redacted - confidential]**.¹⁷⁹ In particular, the Portfolio Manager stated that, **[Redacted - confidential]**¹⁸⁰ The ACCC considers that this evidence indicates that if

¹⁷⁰ **[Redacted - confidential]**.

¹⁷¹ **[Redacted - confidential]**.

¹⁷² **[Redacted - confidential]**.

¹⁷³ **[Redacted - confidential]**.

¹⁷⁴ **[Redacted - confidential]**.

¹⁷⁵ **[Redacted - confidential]**.

¹⁷⁶ **[Redacted - confidential]**.

¹⁷⁷ **[Redacted - confidential]**.

¹⁷⁸ **[Redacted - confidential]**.

¹⁷⁹ **[Redacted - confidential]**.

¹⁸⁰ **[Redacted - confidential]**.

the Acquisition did not proceed and one or more alternative bidder(s) emerged, the senior secured creditor would **[Redacted - confidential]**.

7.44. A representative of the Receivers also gave evidence in a compulsory examination that, if the ACCC were to determine that the Acquisition must not be put into effect and no further funding were made available to Konvoy, he would expect **[Redacted - confidential]**.¹⁸¹ In particular, the Receivers' representative stated that **[Redacted - confidential]**,¹⁸² despite his expectation that **[Redacted - confidential]**.¹⁸³ The ACCC considers this evidence to be consistent with the proposition that, in the absence of the Acquisition, it is likely that the Receivers and the senior secured creditor would wish **[Redacted - confidential]**.

7.45. On the basis of the evidence before it, the ACCC therefore considers that the Receivers (together with the senior secured creditor) would be unlikely to proceed immediately to liquidation without first at least testing whether a transaction could be achieved with those parties that had already demonstrated an interest in acquiring Konvoy or its assets.¹⁸⁴ This is particularly so given Mr Fung's evidence that an offer from a party who has expressed interest in the business is likely to provide a better outcome than a wind down scenario.¹⁸⁵ It is likely that there is an incentive for the Receivers and the secured creditor to seek to achieve some sale of the business or assets, rather than no sale; and therefore there is an incentive for the secured creditor to provide some further funding to see if a sale can be achieved. Mr Fung expressly concluded that, in circumstances where no further funding was available from the secured creditor, a reasonable receiver would likely pursue, as an intermediate step, a rapid going-concern sale process by urgently re-engaging shortlisted bidders and other interested parties and inviting them to submit offers within a compressed timeframe.¹⁸⁶ While Mr Fung considered that any such process, in the absence of funding from the secured creditor, would likely require a prospective purchaser to provide upfront funding in order to support ongoing trading during any due diligence and sale completion period, and identified a material risk that **[Redacted - confidential]**, he nevertheless considered that a reasonable receiver would first test whether such a transaction could be achieved before proceeding to liquidation.¹⁸⁷

7.46. The ACCC considers that this evidence is also consistent with the evidence of a representative of the Receivers that, **[Redacted - confidential]**.¹⁸⁸ Taken together, this evidence gives considerable support for the view that, in the future without the Acquisition, there is a real prospect that the Receivers (on instruction from the senior secured creditor) would undertake a targeted and accelerated sale process before any decision was made to cease operations and liquidate the business.

7.47. In reaching this view, the ACCC has had regard to evidence that interest in Konvoy and its assets continued following the conclusion of the formal sale process. In particular, **[Redacted - confidential]**.¹⁸⁹ The evidence further indicates that the Receivers

¹⁸¹ **[Redacted - confidential]**.

¹⁸² **[Redacted - confidential]**.

¹⁸³ **[Redacted - confidential]**.

¹⁸⁴ ACCC, *MicroStar Konvoy (Michael Fung)*, 7 July 2026, p. 22. 72969.001.053.0001.

¹⁸⁵ ACCC, *MicroStar Konvoy – Supplementary Report (Michael Fung)*, 17 July 2026, p. 7. 72969.001.063.0001.

¹⁸⁶ ACCC, *MicroStar Konvoy – Supplementary Report (Michael Fung)*, 17 July 2026, p. 8. 72969.001.063.0001.

¹⁸⁷ ACCC, *MicroStar Konvoy – Supplementary Report (Michael Fung)*, 17 July 2026, p. 8. 72969.001.063.0001.

¹⁸⁸ **[Redacted - confidential]**.

¹⁸⁹ **[Redacted - confidential]**.

[Redacted - confidential].¹⁹⁰ In a compulsory examination, a representative of the Receivers acknowledged that while he **[Redacted - confidential]**.¹⁹¹

7.48. The ACCC considers that this is consistent with the likelihood of a rapid going-concern sale process being pursued as a first step if the Acquisition does not proceed.

7.49. The ACCC accepts that **[Redacted - confidential]**.¹⁹² However, **[Redacted - confidential]** is not determinative of whether there is a real prospect that another purchaser would acquire Konvoy's business or assets in future. As noted above, the evidence before the ACCC indicates that a number of parties have expressed genuine interest in acquiring Konvoy's business or assets and using them to operate a keg pooling service, including through participation in the sale process and subsequent engagement with the Receivers following the formal conclusion of that process.

7.50. The ACCC accepts that there is a degree of uncertainty as to whether a rapid going-concern sale process would ultimately result in a binding transaction. In particular, the ACCC acknowledges that **[Redacted - confidential]** and that this may affect their willingness to transact or the price they were prepared to offer. However, that uncertainty does not alter the probability that a reasonable receiver seeking to maximise value would be likely to recommend undertaking that process before proceeding to liquidation. The ACCC also considers it likely that the senior secured creditor, acting consistently with its commercial incentive to maximise recoveries, would support (and potentially fund trading by the Receivers during) a short additional period of due diligence where there remained interested parties willing to conduct such due diligence, and where doing so presented a realistic prospect of achieving a higher-value outcome than an immediate liquidation. The ACCC considers that the evidence supports that conclusion.

Potential for Konvoy's business or assets to be acquired through a rapid, targeted sale process and used in the provision of keg pooling services

7.51. Kegstar submitted that the Australian market cannot sustainably support two providers of keg pooling services **[Redacted - confidential]**.¹⁹³

7.52. The ACCC considers the fact that there may be uncertainty about long-term market structure does not negate the existence of credible alternative purchasers or the likelihood that Konvoy's business or assets would continue to be used in keg pooling.

7.53. **[Redacted - confidential]**.¹⁹⁴ These parties include **[Redacted - confidential]**, all of whom indicated varying degrees of interest.¹⁹⁵ Although the Receivers noted that **[Redacted - confidential]**,¹⁹⁶ neither the Receivers nor Mr Fung concluded that **[Redacted - confidential]**.¹⁹⁷

¹⁹⁰ **[Redacted - confidential]**.

¹⁹¹ **[Redacted - confidential]**.

¹⁹² **[Redacted - confidential]**.

¹⁹³ **[Redacted - confidential]**.

¹⁹⁴ **[Redacted - confidential]**.

¹⁹⁵ **[Redacted - confidential]**.

¹⁹⁶ **[Redacted - confidential]**.

¹⁹⁷ **[Redacted - confidential]**; ACCC, *MicroStar Konvoy – Supplementary Report (Michael Fung)*, 17 July 2026, p. 8. 72969.001.063.0001.

- 7.54. The ACCC also notes that, while the Receivers submitted that **[Redacted - confidential]**¹⁹⁸ This suggests that **[Redacted - confidential]**.
- 7.55. The ACCC has been assisted by the evidence of Dr Wainscoat, who queried the proposition that Konvoy's historical losses demonstrate that the Australian market can only support a single keg pooling provider. Dr Wainscoat considered that losses may have resulted from a range of factors unrelated to structural market limitations, including pricing strategy, excess capacity, inefficient operations, depreciation policies, investment cycles, customer mix, and business-specific execution issues.¹⁹⁹
- 7.56. For example, **[Redacted - confidential]**.²⁰⁰ The management proposal provided to the Receivers by **[Redacted - confidential]** dated April 2026 stated that **[Redacted - confidential]**.²⁰¹ The proposal identified **[Redacted - confidential]**.²⁰² **[Redacted - confidential]**.²⁰³
- 7.57. The ACCC considers that this evidence is consistent with the possibility that an alternative purchaser may be willing and able to acquire Konvoy's business or assets and continue to provide a competitive constraint on Kegstar.
- 7.58. Accordingly, while the identity of any future operator remains uncertain, the available evidence does not support a conclusion that the Australian market is likely to be incapable of sustaining more than one keg pooling provider. In particular, the financial performance of Konvoy is not, of itself, persuasive evidence that competition between two providers cannot be sustained. While the ACCC accepts that **[Redacted - confidential]**, the ACCC does not consider it appropriate to assume that Konvoy's recent performance is indicative of the likely performance of an alternative purchaser operating the business or some or all of the assets. The ACCC considers that recent performance of Konvoy and its keg pooling business, at least to some extent, reflects the effects of a prolonged insolvency process and uncertainty following the senior secured creditor's decision to enter into a sale agreement with Konvoy's major competitor.

Prospects for Konvoy's business and assets if a sale is not achieved

- 7.59. The ACCC accepts that, if a rapid sale process did not result in an acceptable offer, liquidation is likely to occur.
- 7.60. The evidence establishes that **[Redacted - confidential]**,²⁰³ and that **[Redacted - confidential]**.²⁰⁴ Mr Fung concluded that, if no acceptable offer emerged and no restructuring solution was available, a reasonable receiver would likely **[Redacted - confidential]**.²⁰⁵ He further concluded that a reasonable deed administrator would **[Redacted - confidential]**.²⁰⁶

¹⁹⁸ **[Redacted - confidential]**.

¹⁹⁹ ACCC, *MicroStar Konvoy (Luke Wainscoat)*, 19 June 2026, pp. 18, 26. 72969.001.051.0001.

²⁰⁰ **[Redacted - confidential]**.

²⁰¹ **[Redacted - confidential]**.

²⁰² **[Redacted - confidential]**.

²⁰³ **[Redacted - confidential]**.

²⁰⁴ **[Redacted - confidential]**.

²⁰⁵ ACCC, *MicroStar Konvoy (Michael Fung)*, 7 July 2026, pp. 9-10. 72969.001.053.0001.

²⁰⁶ ACCC, *MicroStar Konvoy (Michael Fung)*, 7 July 2026, p. 10. 72969.001.053.0001.

- 7.61. The ACCC accepts that liquidation is a plausible and potentially likely outcome if a rapid targeted sale process does not result in a transaction.

Potential outcomes for Konvoy's assets in a liquidation scenario

- 7.62. The ACCC has considered whether liquidation is likely to result in complete asset abandonment.
- 7.63. The ACCC considers that, in the event of liquidation, abandonment is one available option. However, the evidence indicates that it is not the only potential option and that there are other realistic commercially plausible alternatives available. Having regard to the evidence as a whole, the ACCC considers that a liquidation-sale scenario remains a real prospect if a going-concern transaction cannot be achieved.
- 7.64. Based on the evidence before it, the ACCC considers that outright abandonment of Konvoy's assets may not occur, for several reasons. First, an indicative analysis prepared by the Receivers for the purpose of the ACCC's assessment of the Acquisition modelled **[Redacted - confidential]**.²⁰⁷ Second, **[Redacted - confidential]**.²⁰⁸ Third, contemporaneous documentary evidence (from around the time when the ACCC first expressed its opposition to the Acquisition) demonstrates that **[Redacted - confidential]**.²⁰⁹ The ACCC considers that these materials reflect an exploration of possible outcomes, including outcomes perceived to support the Parties' submissions regarding the likely future without the acquisition, rather than a settled and commercially realistic plan that would likely be pursued in the ordinary course.
- 7.65. The ACCC considers there is evidence of demand for Konvoy's assets in a liquidation scenario. A number of parties have expressed conditional but genuine interest in acquiring some or all of Konvoy's assets in the event of liquidation, as discussed below. The ACCC considers that a decision to abandon assets entirely is difficult to reconcile with a liquidator's statutory obligations in circumstances where there is evidence that asset recovery and realisation could generate value for creditors.
- 7.66. The Fung Report also treats with scepticism the proposition that a reasonable liquidator would abandon all assets. Mr Fung concludes that **[Redacted - confidential]**.²¹⁰ He further concludes that, **[Redacted - confidential]**.²¹¹
- 7.67. Weighing all of this evidence together, the ACCC considers that, if Konvoy was put into liquidation, there is a real prospect that all or some of Konvoy's retrievable assets would be realised and acquired by one or more purchasers, notwithstanding that the identity of any such purchaser may be uncertain.

Potential use of Konvoy's assets following liquidation

- 7.68. The ACCC has also considered whether, if Konvoy is put into liquidation, it is likely a substantial proportion of its assets would continue to be deployed in keg pooling operations. **[Redacted - confidential]**.²¹² Importantly, that interest is not directed merely towards the acquisition of distressed assets for their residual value. The evidence

²⁰⁷ **[Redacted - confidential]**.

²⁰⁸ **[Redacted - confidential]**.

²⁰⁹ **[Redacted - confidential]**; **[Redacted - confidential]**.

²¹⁰ ACCC, *MicroStar Konvoy (Michael Fung)*, 7 July 2026, pp. 31-32. 72969.001.053.0001.

²¹¹ ACCC, *MicroStar Konvoy (Michael Fung)*, 7 July 2026, pp. 31-32. 72969.001.053.0001.

²¹² **[Redacted - confidential]**.

indicates that several interested parties view Konvoy's keg fleet, intellectual property and related operational assets as capable of supporting the continued provision of keg pooling services.²¹³

7.69. In particular, the evidence indicates that several interested parties could derive value from integrating Konvoy's assets into existing operations.

7.70. [Redacted - confidential].²¹⁴ [Redacted - confidential].²¹⁵ [Redacted - confidential].²¹⁶ [Redacted - confidential].²¹⁷

7.71. The ACCC notes the Receivers' submission that [Redacted - confidential].²¹⁸ The ACCC accepts that those matters introduce uncertainty as to whether [Redacted - confidential] would ultimately complete a transaction and on what terms. However, they do not detract from the evidence that [Redacted - confidential] identified strategic and operational value in Konvoy's assets and [Redacted - confidential].²¹⁹

7.72. Similarly, [Redacted - confidential].²²⁰ [Redacted - confidential].²²¹ [Redacted - confidential].²²² [Redacted - confidential].²²³ [Redacted - confidential].²²⁴ [Redacted - confidential].²²⁵

7.73. The ACCC has considered the Receivers' submission that [Redacted - confidential].²²⁶ The ACCC accepts that those matters may affect the likelihood, timing or valuation of any future proposal. However, the ACCC considers that they do not negate the broader evidence that [Redacted - confidential] [Redacted - confidential].²²⁷

7.74. The ACCC notes that evidence of interest from [Redacted - confidential] and [Redacted - confidential] is consistent with the evidence of [Redacted - confidential].²²⁸

7.75. The ACCC accepts that a liquidation scenario may result in a less orderly outcome than a going concern sale, and that any purchaser seeking to operate a keg pooling business may acquire only part of Konvoy's asset base. However, the ACCC considers that an alternative purchaser would not necessarily need to acquire all of Konvoy's assets in order to compete effectively with Kegstar. The ACCC considers there to be a realistic prospect that a purchaser would acquire a sufficient volume of kegs and associated assets to establish a keg pooling operation capable of providing a meaningful competitive constraint.

²¹³ [Redacted - confidential]; [Redacted - confidential].

²¹⁴ [Redacted - confidential]; [Redacted - confidential].

²¹⁵ [Redacted - confidential].

²¹⁶ [Redacted - confidential].

²¹⁷ [Redacted - confidential].

²¹⁸ [Redacted - confidential].

²¹⁹ [Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential].

²²⁰ [Redacted - confidential].

²²¹ [Redacted - confidential].

²²² [Redacted - confidential].

²²³ [Redacted - confidential].

²²⁴ [Redacted - confidential].

²²⁵ [Redacted - confidential].

²²⁶ [Redacted - confidential].

²²⁷ [Redacted - confidential].

²²⁸ [Redacted - confidential].

7.76. The ACCC also notes that an alternative purchaser would not necessarily continue to operate Konvoy using the same business model, or under the same cost structure as Konvoy absent the merger. Dr Wainscoat expressly criticised the assumption that an alternative owner would operate the business in substantially the same manner as Konvoy has historically operated it, and noted that a new owner may alter pricing, customer mix, logistics arrangements, fleet size, operating model, or capital structure.²²⁹

7.77. This is consistent with the evidence referred to at 7.56 above that **[Redacted - confidential]** considered that certain operational changes could be implemented that would establish a pathway to improved performance in respect of the Konvoy keg pooling business. As outlined above, both **[Redacted - confidential]** and **[Redacted - confidential]** similarly considered that they could achieve synergies and/or other strategic or operational benefits by acquiring Konvoy or its assets for the purpose of operating a keg pooling business. As noted by Dr Wainscoat, the First NERA Report did not assess the extent to which an alternative purchaser may be able to generate efficiencies independently of the Acquisition.²³⁰

7.78. While the ACCC cannot predict with certainty precisely how Konvoy's assets would be deployed following liquidation, the evidence supports the view that there are a number of plausible outcomes. On balance, the ACCC considers that Konvoy's keg fleet retains economic value beyond its scrap value and that there are identifiable parties with a commercial incentive to acquire and utilise those assets. In those circumstances, the ACCC considers that there is a realistic, albeit uncertain, prospect that a substantial portion of Konvoy's retrievable assets would continue to be deployed in keg pooling operations following liquidation. The ACCC does not consider that prospect to be speculative, fanciful or merely theoretical. Rather, it is a commercially realistic possibility supported by the evidence before the ACCC.

Potential for the Australian market to sustain two providers

7.79. In its assessment of the future without the acquisition, the ACCC has also considered Kegstar's submission that the Australian market is unable to sustain two keg pooling services providers, such that the most likely counterfactual is that Konvoy exits the market. Kegstar submits that its position is supported by analysis contained in the First NERA Report, which stated:

- The fact that Kegstar has been **[Redacted - confidential]** and Konvoy is now in receivership suggests 'neither provider is currently enjoying the required economies of density to enable them to sustainably compete for the business of brewers.'²³¹
- In most US states (**[Redacted - confidential]**) there is just one PPF provider, and states with a second PPF provider (**[Redacted - confidential]**) tend to have relatively high population density. The average population density of Australian states is substantially lower than the average population density of US states.²³²
- Kegstar's expectation that the Acquisition would generate substantial synergies (a '**[Redacted - confidential]**') that could not be achieved by an alternative buyer leads NERA to conclude that an alternative buyer would need to **[Redacted - confidential]** to be viable.²³³

²²⁹ ACCC, *MicroStar Konvoy* (Luke Wainscoat), 19 June 2026, pp. 26 - 27. 72969.001.051.0001.

²³⁰ ACCC, *MicroStar Konvoy* (Luke Wainscoat), 19 June 2026, p. 27. 72969.001.051.0001.

²³¹ **[Redacted - confidential]**.

²³² **[Redacted - confidential]**.

²³³ **[Redacted - confidential]**.

7.80. The ACCC considers that the **[Redacted - confidential]** of Kegstar or Konvoy is not persuasive evidence that the Australian market cannot sustain two keg pooling service providers. The ACCC places weight on the evidence of Dr Wainscoat who considers that evidence of **[Redacted - confidential]** does not establish that the market cannot sustain two providers, since those **[Redacted - confidential]** may have resulted from a range of factors unrelated to structural market limitations.²³⁴

7.81. The ACCC considers that NERA's analysis comparing the density of US states with one PPF provider with those US states with two providers, does not support the conclusion that Australia, due to its low population density, cannot sustain two PPF providers. In considering these issues, the ACCC has been assisted by Dr Wainscoat, who considers 'the number of firms observed in a market may be affected by many factors beyond density alone, including differences in demand, industry structure, contracting arrangements, historical development, customer concentration, and the availability of alternative keg management solutions. For example, most of the states identified by NERA as having two PPF providers are states with relatively large populations, compared to the states with one PPF provider.' Dr Wainscoat also considers that state-wide population density is 'unlikely to be the appropriate metric for assessing density economies in this industry', since it does not consider the operational geography of the network such as the concentration of keg flows within particular logistics corridors, the proximity between brewers and venues, or the structure of collection routes.

7.82. The ACCC has also considered Kegstar's submissions regarding the cost synergies resulting from the Acquisition. While the ACCC considers it likely that the Acquisition would result in cost synergies, it does not consider there is sufficient evidence to support a conclusion that these synergies would be substantially greater than those that could be realised by an alternative purchaser, for the following reasons:

- There is no clear evidence that the Acquisition would contribute to a substantial reduction in its transport costs (which Kegstar submits comprise **[Redacted - confidential]** of its COGS). The modelling submitted by Kegstar shows that adding **[Redacted - confidential]**.²³⁵ Kegstar's calculations, however, appear to extrapolate any transport cost savings from **[Redacted - confidential]**.²³⁶
- The Acquisition is unlikely to lead to substantial transport cost efficiencies for logistics providers that could be passed on to Kegstar. The evidence before the ACCC indicates the Parties use the same logistics providers as each other to collect, store and deliver kegs across **[Redacted - confidential]**. Collectively, these **[Redacted - confidential]** logistics providers accounted for **[Redacted - confidential]** in FY25. When a 3PL servicing both Parties arrives at a venue with empty Kegstar and Konvoy kegs, they will typically collect both Parties' kegs and return them to the same warehouse. In instances where a 3PL servicing both Parties wishes to deliver separate consignments (on behalf of each party) of palletised empty kegs to brewers on a single truck for efficiency reasons, logistics providers can already do this.²³⁷
- There is no evidence that the Acquisition would contribute to a substantial reduction in warehousing costs (Kegstar submits these costs represents **[Redacted - confidential]**% of its COGS). The modelling submitted by Kegstar shows the

²³⁴ ACCC, *MicroStar Konvoy* (Luke Wainscoat), 19 June 2026, pp. 18, 26. 72969.001.051.0001.

²³⁵ **[Redacted - confidential]**.

²³⁶ **[Redacted - confidential]**.

²³⁷ **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**.

Acquisition would lead to a reduction in **[Redacted - confidential]**. Evidence before the ACCC indicates logistics providers **[Redacted - confidential]**.²³⁸ This indicates warehousing costs are a function of **[Redacted - confidential]**. On this basis, logistics providers continuing to charge for their services on this basis would suggest that there would be no substantial change **[Redacted - confidential]**.

- There may be alternative purchasers of Konvoy with adjacent offerings that could realise cost synergies, as outlined above in **Error! Reference source not found.**. The ACCC also notes that the First NERA Report suggests smaller keg pooling service providers competing in some US states 'have a small share of the PPF segment' and 'primarily specialise in adjacent offerings like leasing or pure-play reverse logistics.'²³⁹

8. Competition assessment

Summary of competition assessment

- 8.1. The ACCC has considered the effects of the Acquisition by comparing the likely future state of competition if the Acquisition proceeds against the likely future state of competition if the Acquisition does not proceed.
- 8.2. In the future with the Acquisition, Kegstar will acquire the relevant assets of Konvoy and become the sole provider of keg pooling services in Australia. This will likely remove the existing competitive constraint of Konvoy on Kegstar. This loss of competition is likely to be substantial, since Konvoy is Kegstar's closest competitor and the only other current provider of keg pooling services in Australia. The ACCC considers that neither the threat of new entry nor the countervailing power of customers would likely meaningfully constrain Kegstar from increasing prices or reducing the quality of its services following the Acquisition.
- 8.3. In the future without the Acquisition, the ACCC accepts that there are a range of possible scenarios that may eventuate, including the possibility that Konvoy enters liquidation resulting in all of its assets exiting the market for keg pooling services. However, as explained in section 7 above, the ACCC considers that there is also a realistic commercial prospect that:
- an alternate bidder acquires Konvoy as a going concern through a rapid sale process; or
 - a substantial proportion of Konvoy's assets are deployed in keg pooling services following a liquidation process.
- 8.4. The ACCC considers that the competitive constraint on Kegstar would likely be substantially lessened in the future with the Acquisition, compared with either of these future scenarios without the Acquisition.
- 8.5. On the evidence before it, the ACCC is satisfied that the Acquisition, if put into effect, would, in all the circumstances, have the effect or be likely to have the effect, of substantially lessening competition in the market for keg pooling services in Australia.

²³⁸ **[Redacted - confidential]**.

²³⁹ **[Redacted - confidential]**.

Closeness of competition

- 8.6. The ACCC has considered the extent to which Konvoy constrains Kegstar in the supply of keg pooling services in Australia, including the closeness of competition between the Parties.
- 8.7. Given Konvoy is currently in receivership, there is some uncertainty as to the extent of any competitive constraint that Konvoy, or an alternative owner of its business or assets, would impose on Kegstar in the future absent the Acquisition. However, the ACCC considers the issue of closeness of competition remains relevant to its assessment. This is because there is a real prospect that, in the future without the Acquisition, either an alternate buyer would acquire Konvoy's business and would continue operating it as a going concern or a substantial proportion of its assets would be deployed by other suppliers in the provision of keg pooling services.
- 8.8. Kegstar submitted that Konvoy is not a closer competitor to Kegstar than unbundled keg logistics solutions, and that those alternatives would continue to provide a significant and enduring competitive constraint following the Acquisition and under any plausible counterfactual.²⁴⁰ Kegstar also submitted that Konvoy's ability to constrain Kegstar had diminished materially prior to its entry into receivership.²⁴¹ It also relies on the analysis contained in the First and Second NERA Reports in support of these submissions.
- 8.9. Having regard to the evidence before it, the ACCC considers that Kegstar and Konvoy are each other's closest competitor in the supply of keg pooling services in Australia. The ACCC further considers that the Acquisition would remove the substantial competitive constraint that an alternative purchaser of Konvoy (or its assets) would likely impose in the future without the Acquisition.
- 8.10. While the ACCC recognises that Konvoy is currently in receivership and that its competitive position has weakened, it does not necessarily follow that Konvoy is not Kegstar's closest competitor, or that unbundled keg logistics solutions provide a closer competitive constraint. The ACCC considers that Konvoy's entry materially changed the competitive conditions of the keg pooling services market, that the Parties competed directly for customers, and that Kegstar has continued to target Konvoy customers during the receivership period.
- 8.11. The ACCC also considers that there are no other existing direct competitors to the Parties. While Kegstar submitted that the Parties compete with keg leasing providers, keg financing providers and logistics providers,²⁴² evidence from market participants did not support this view. The ACCC did not receive evidence that keg leasing or financing providers represent a viable substitute for the Parties' services. For example, evidence received by the ACCC from a keg financing provider noted that it has had one customer over the last 3 years.²⁴³
- 8.12. In making this assessment, the ACCC has considered Kegstar's submissions (including the analysis contained in the First, Second and Third NERA Reports), Kegstar's win/loss data, feedback from customers regarding Kegstar's competitive response following Konvoy's entry into the Australian market in 2019, and documentary

²⁴⁰ [Redacted - confidential].

²⁴¹ [Redacted - confidential].

²⁴² [Redacted - confidential].

²⁴³ [Redacted - confidential].

evidence from Kegstar relating to pricing before and after Konvoy's entry. Each of these issues is discussed in the sections below.

Impact on competitive conditions following Konvoy's entry

8.13. In assessing the closeness of competition between Kegstar and Konvoy, the ACCC has considered the impact of Konvoy's entry into the Australia market in 2019. Market entry is particularly probative evidence as to whether competitors compete closely because it provides an opportunity to observe if, and to what extent, existing suppliers respond to the entrant by reducing prices, improving service, targeting the entrant's customers or otherwise changing their competitive conduct.

8.14. The evidence before the ACCC from Kegstar and keg pooling customers indicates that Konvoy's entry materially changed the competitive conditions facing Kegstar. After Konvoy entered, Kegstar faced a direct keg pooling competitor and responded by offering lower prices and improved commercial terms. The ACCC considers this to be meaningful evidence that Kegstar competes closely with Konvoy over price and service, reflecting the closeness of competition between the Parties.

8.15. Market feedback from multiple customers indicates that Konvoy's entry in late 2019 lowered the average price-per-fill for keg pooling services in Australia.²⁴⁴ This reduction in price-per-fill not only applied to those customers that switched to Konvoy, but also to those that remained with Kegstar and were able to negotiate a lower rate. Market feedback also indicates that service quality and commercial terms improved for customers, including shorter contract lengths, greater innovation and improved customer service and billing methods.²⁴⁵

8.16. Kegstar's response to a section 155(1)(a) Notice indicates that **[Redacted - confidential]**.²⁴⁶ **[Redacted - confidential]**.

8.17. Kegstar submitted that the ACCC's claim that Kegstar's prices fell on Konvoy's entry is not supported by a robust analytical framework because:²⁴⁷

- the dataset on which the ACCC relies only starts when Konvoy entered the market (in 2019), making any inference about the price impact of entry unreliable;
- the ACCC does not appear to control for confounding factors that could also explain **[Redacted - confidential]**, such as Konvoy increasing its network density, changes in input costs, and the impact of COVID; and
- the ACCC does not account for existing PPF prices being below the competitively sustainable level.

8.18. Konvoy's receivers submitted that '[Redacted - confidential]. Ignoring those other product distribution solutions in defining the market, when those distribution solutions are a key driver for the economic reality of Konvoy, is deeply flawed.'²⁴⁸

[illegible]

245 [Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential].

246 [Redacted - confidential].

247 [Redacted - confidential].

248 [Redacted - confidential].

8.19. The ACCC further considers that, on all the evidence before it, the **[Redacted - confidential]** is likely to give a reasonable indication of the competitive constraint imposed by Konvoy, for the following reasons:²⁴⁹

- The dataset contains data for FY19, which ended on 30 June 2019 and therefore ended before Konvoy's entry (Konvoy was founded in October 2019). The substantial **[Redacted - confidential]** is consistent with market feedback from brewers that Konvoy's entry led to Kegstar offering substantially lower prices, and fewer fees and charges. For those brewers, Kegstar's offers of lower prices occurred when those brewers' contracts were renegotiated – which may not necessarily have occurred immediately from the date Konvoy was founded;²⁵⁰
- The ACCC considers that the evidence before it does not support the claim that the threat of self-supply or other alternative methods have been the determinative factor leading to Kegstar's **[Redacted - confidential]** since Konvoy's entry (the competitive constraint of self-supply is discussed in further detail in the section 'Competitive constraint from self-supply' below); and
- While this analysis does not control for factors such as input or fuel prices, the ACCC notes that Kegstar's revenue-per-fill has remained **[Redacted - confidential]** Konvoy has operated in the market.²⁵¹

Continued competition between Kegstar and Konvoy

8.20. Since Konvoy's entry, Kegstar and Konvoy have competed and continue to compete directly and vigorously for the same keg pooling customers. The ACCC considers this evidence to be important in assessing closeness of competition because suppliers that repeatedly compete for the same customers are more likely to impose a significant competitive constraint on one another. Evidence that customers switch between the Parties, and that the Parties actively seek to win business from one another, therefore provides direct insight into the competitive alternatives that customers have actually chosen between when deciding which supplier to use.

8.21. Consistent with this, the win/loss data submitted by Kegstar of actual customer switching shows that the most important competitive interaction is between the two keg pooling providers, Kegstar and Konvoy, not between keg pooling and unbundled solutions.

8.22. Dr Wainscoat's analysis indicates that **[Redacted - confidential]**% of wins for Kegstar were from Konvoy, after excluding from the sample customers who did not switch from an existing primary keg solution to Kegstar. Meanwhile, **[Redacted - confidential]**% of losses from Kegstar were to Konvoy, after excluding customers **[Redacted - confidential]**. According to Dr Wainscoat, this analysis indicates that while some customers have switched from **[Redacted - confidential]**.²⁵²

8.23. The Third NERA Report contends that it may be appropriate to consider [Redacted - confidential]. It also states that it is notable that Dr Wainscoat's 'analysis of the

249 [Redacted - confidential].

[illegible]

251 [Redacted - confidential].

²⁵² ACCC, *MicroStar Konvoy* (Luke Wainscoat), 19 June 2026, pp. 15-16. 72969.001.051.0001.

win/loss data aggregates **[Redacted - confidential]**, since that approach ‘obscures the dynamic that Konvoy’s competitive influence is diminishing over time.’²⁵³

8.24. The ACCC considers that, without any direct evidence about the actual range of keg solutions considered by those new Kegstar customers (which may have included Konvoy’s keg pooling services) or how seriously they considered them, there is little evidentiary value in including these customers in the win/loss analysis for the purpose of considering the closeness of competition between Kegstar and Konvoy. Without such information, the ACCC considers it is appropriate to exclude them from the analysis, as Dr Wainscoat has done. In any event, regardless of the appropriate approach, the ACCC considers that both the **[Redacted - confidential]**% and **[Redacted - confidential]**% results are consistent with Kegstar and Konvoy being particularly close competitors during the relevant period.

Konvoy’s current competitive position

8.25. Konvoy is experiencing significant financial stress, having been in receivership since March 2025. However, while Konvoy’s current financial distress may reduce the intensity of its current competitive constraint on Kegstar, it does not necessarily follow that Kegstar and Konvoy are not each other’s closest competitor.

8.26. In its first report, NERA concludes that, under a counterfactual in which an alternative purchaser acquires Konvoy’s assets and continues to offer keg pooling services in competition with Kegstar (the **Alternative Buyer Counterfactual**), unbundled keg logistics solutions would represent a closer competitive constraint on Kegstar than the alternative purchaser. NERA’s conclusion is based on, among other things, the following considerations:

- Kegstar’s customer wins and losses indicate that **[Redacted - confidential]**; and²⁵⁴
- Under the Alternative Buyer Counterfactual, Konvoy would likely need to increase prices in order to operate sustainably, even if an alternative buyer were able to realise some synergies. NERA therefore considers that Konvoy’s competitive position would continue to weaken relative to other keg logistics alternatives under this counterfactual (if Konvoy exists at all).²⁵⁵

8.27. The ACCC accepts that **[Redacted - confidential]**. Updated win/loss data submitted by Kegstar indicates **[Redacted - confidential]**.²⁵⁶ Nonetheless, the win/loss data provided by Kegstar contains **[Redacted - confidential]**.²⁵⁷ The ACCC also considers that under the ownership of an alternative buyer and with the business no longer in receivership, Konvoy may provide a stronger competitive constraint in future than it has since entering receivership.

8.28. The ACCC has also received evidence **[Redacted - confidential]**.²⁵⁸ While the ACCC accepts that Konvoy may not have won substantial new business since entering into receivership, this evidence suggests their ongoing operation is still a source of

²⁵³ **[Redacted - confidential]**.

²⁵⁴ **[Redacted - confidential]**.

²⁵⁵ **[Redacted - confidential]**.

²⁵⁶ **[Redacted - confidential]**.

²⁵⁷ **[Redacted - confidential]**; **[Redacted - confidential]**. Using the methodology adopted by Dr Wainscoat, **[Redacted - confidential]** of Kegstar’s wins were from Konvoy in 2025, after excluding from the sample customers who did not switch from an existing primary keg solution to Kegstar.

²⁵⁸ **[Redacted - confidential]**.

competitive constraint causing Kegstar to offer lower prices than they otherwise would. This is consistent with Konvoy remaining Kegstar's closest competitor, despite being in receivership.

- 8.29. The ACCC further notes the Receivers' submissions that, in the event the Acquisition is not approved by the ACCC, the Receivers expect Kegstar will continue to compete vigorously with Konvoy on price and supply, and that **[Redacted - confidential]**.²⁵⁹

Competitive constraint from self-supply

- 8.30. Countervailing power may be an effective constraint when an entity can profitably bypass a supplier by self-supplying. The ACCC has considered the extent to which self-supply for keg logistics is commercially viable, taking into account the relative costs and convenience of self-supply compared to the use of keg pooling services.

- 8.31. As part of its consideration of the competitive impact of the Acquisition, the ACCC has also assessed the extent to which different categories of customers would likely be able to exercise countervailing power. As explained in the ACCC Merger Guidelines:

*For the countervailing power to prevent any exercise of market power by the merged firm, it will usually not be sufficient if only one customer or category of customers is able to bypass the merged firm post-merger. For example, the merged firm may be able to increase prices charged to smaller customers that are unable to bypass it, while larger customers with countervailing power may be able to avoid the increase.*²⁶⁰

- 8.32. Kegstar submitted that self-supply and other unbundled keg solutions impose a strong competitive constraint on keg pooling providers.²⁶¹ In support of this submission, Kegstar provided reports prepared by NERA and evidence regarding the keg usage patterns of Australian brewers, information about MicroStar's US margins, and information regarding the margins of Australian Kegstar customers.

- 8.33. The ACCC considers that, based on the evidence before it, customer countervailing power, in the form of customers self-supplying by obtaining access to their own kegs (either through ownership or leasing) and logistics (either in-house or outsourced), is unlikely to sufficiently constrain the merged entity from raising prices or reducing the quality of its services for a substantial portion of keg pooling customers.

- 8.34. To the extent that countervailing power may constrain Kegstar for some portion of its keg pooling business, the ACCC considers that Kegstar would likely be able to identify those PPF customers that would find self-supply most costly, based on their existing volumes and distribution footprint.²⁶² Kegstar's ability to price discriminate means it is likely they could profitably increase the price offered to those customers.

- 8.35. As part of its assessment, the ACCC has considered Kegstar's submissions (including the information in the NERA reports) regarding existing keg usage patterns in Australia, MicroStar's US margins, and the margins of Kegstar's Australian customers.

²⁵⁹ **[Redacted - confidential]**.

²⁶⁰ ACCC, *Merger Assessment Guidelines*, 20 June 2025, p. 52.

²⁶¹ **[Redacted - confidential]**. **[Redacted - confidential]**

²⁶² **[Redacted - confidential]**.

In considering these issues, the ACCC has been assisted by Dr Wainscoat. Each of these issues is considered below.

The cost and commercial viability of self-supply

- 8.36. The extent to which self-supply may constrain the Parties post-Acquisition depends on which brewers can realistically adopt a self-supply model.
- 8.37. The ACCC considers that self-supply involves significant capital investment, operational complexity and ongoing management costs. The evidence indicates that many brewers value keg pooling precisely because it avoids those costs and complexities.
- 8.38. Information from the Parties, corroborated by feedback from keg pooling customers, indicates that the costs associated with self-supply are material, requiring the acquisition of a fleet of kegs (owned or leased), maintaining and servicing this fleet of kegs, carrying out reverse logistics (whether by owning or operating their own fleet of vehicles or contracting these services from logistics providers) and managing and administering these operations.²⁶³
- 8.39. The ACCC has also reviewed **[Redacted - confidential]** internal documents that suggest that these brewer constraints are key to its value proposition, noting **[Redacted - confidential]**.²⁶⁴
- **[Redacted - confidential]**;
 - **[Redacted - confidential]**; and
 - **[Redacted - confidential]**.
- 8.40. Based on this evidence, the ACCC considers that the costs associated with keg management are commercially significant for brewers, and the ability of keg pooling services to minimise those costs is a key reason why brewers engage keg pooling providers.
- 8.41. The ACCC has also considered evidence regarding the prevalence of self-supply, the categories of brewers for whom self-supply is currently economically viable, and whether this would provide an effective competitive constraint on the merged entity.
- 8.42. Regarding the extent of brewer self-supply, Kegstar estimates that **[Redacted - confidential]**% of Australian brewers already utilise an unbundled keg solution for at least a portion of their supply, while **[Redacted - confidential]**% of Australian brewers (by number of brewers) utilise an unbundled keg solution and do not acquire keg pooling services.²⁶⁵
- 8.43. Kegstar provides further evidence that pooling services are not only relied upon by brewers who supply kegged beverages beyond their local area, which it has defined as 5km from the brewery and postcodes adjacent to the brewery. Kegstar has been able to

263 [Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential]; [Redacted -
confidential]; [Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential];
[Redacted - confidential] [Redacted - confidential].

264 [Redacted - confidential]; [Redacted - confidential]; [Redacted - confidential].

265 [Redacted - confidential]; [Redacted - confidential].

identify, based on its market knowledge, over **[Redacted - confidential]** brewers that send kegs outside their local area using an unbundled solution.²⁶⁶

8.44. The ACCC does not consider that the ability of some brewers to self-supply means that self-supply will constrain the merged entity across the market. The evidence suggests that self-supply is economically viable primarily for two categories of brewers. The ACCC understands that, given its challenges, brewers that find self-supply to be commercially viable mostly consist of:

- Brewers that operate at a scale (in terms of kegs) and density (in terms of venues) similar to, or greater than, that of the Parties. Only a small number of very large brewers operate at this scale. Submissions from the Receivers suggest that **[Redacted - confidential]** all account for more annual fills as compared to Kegstar and Konvoy (who each account for **[Redacted - confidential]**)²⁶⁷; and
- Brewers that may find it efficient and cost effective to serve a local and concentrated customer base. For such brewers, this might apply to all of their kegged sales, or just the subset of kegged sales that are distributed locally.

8.45. The ACCC has also considered feedback from keg pooling customers indicating that many independent Australian brewers that distribute kegs to venues beyond their local area do not have the scale or business model to credibly switch from keg pooling to self-supply. This feedback is summarised below.

- Independent brewers lack the capital to acquire or finance a sufficiently sized keg fleet.²⁶⁸ Brewers commented that acquiring a keg fleet represents an upfront cost that they consider prohibitive. One brewer commented it could be difficult to obtain finance on kegs since many lenders would be unwilling to lend against assets that do not remain in the physical possession of the brewer.²⁶⁹
- Reverse logistics and maintenance are operationally complex and costly for independent brewers.²⁷⁰ Operating an owned keg fleet involves a range of non-core activities for independent brewers such as warehousing, tracking, retrieval and maintenance. These activities require their own costs and dedicated resources, which even if outsourced would be more expensive than using PPF services. Some brewers have indicated that the consequence of higher costs and complexity make self-supply 'unfeasible'²⁷¹ while others suggested it is impractical to 'collect empty kegs from venues hundreds of kilometres away'.²⁷²
- Small and regional brewers lack sufficient scale to keep an owned fleet utilised and available across demand cycles, making capital investment in ownership unattractive.²⁷³ Brewers experience cyclical demand with peaks over the holiday periods, notably the end of year and summer holidays. One brewer commented that because demand peaks over the holiday periods, switching to self-supply would require acquiring a keg fleet large enough to cover demand during these peak periods, even though the kegs would remain underutilised for much of the year.

²⁶⁶ **[Redacted - confidential]**.

²⁶⁷ **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**.

²⁶⁸ **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**.

²⁶⁹ **[Redacted - confidential]**.

²⁷⁰ **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**.

²⁷¹ **[Redacted - confidential]**; **[Redacted - confidential]**.

²⁷² **[Redacted - confidential]**.

²⁷³ **[Redacted - confidential]**.

- Price increases or changes to terms will be passed onto customers or threaten smaller brewers' viability.²⁷⁴ Brewers identified downstream consequences if pooling becomes more expensive or less accessible, with some brewers indicating costs would need to be passed on to customers, which could lower the competitiveness of independent brewers.

Countervailing power and price discrimination

- 8.46. Even where some brewers may be capable of self-supplying, the ACCC has considered whether this would be sufficient to constrain the merged entity's conduct more broadly. If only a small group of customers can switch to self-supply, the merged entity may still be able to increase prices or reduce service quality for customers that have fewer alternatives.
- 8.47. As outlined above, the ACCC considers that any constraint arising from self-supply would be concentrated among a limited subset of customers. Many customers that distribute kegs to venues beyond their local area do not have the scale or business model to credibly switch from keg pooling to self-supply.
- 8.48. The ACCC further considers that Kegstar has sufficient information to identify those customers that would face the greatest costs in moving to self-supply based on factors such as their scale and geographic footprint. The Australia & New Zealand General Manager of Kegstar, for example, gave evidence that:

'[Redacted - confidential].'²⁷⁵

- 8.49. Given its ability to negotiate prices individually, the ACCC considers that the merged entity may profitably increase prices to customers that face the greatest costs in moving to self-supply, notwithstanding the ability of other customers to self-supply.

Existing usage patterns and substitutability

- 8.50. In assessing the potential constraint from self-supply, the ACCC has also considered evidence provided by Kegstar relating to the existing usage patterns of Australian brewers. If keg pooling services and self-supply were close substitutes for a substantial proportion of brewers and keg volumes, this would suggest that customers could exercise countervailing power by switching away from the merged entity.
- 8.51. As described above, Kegstar's brewer supply data indicates that **[Redacted - confidential]**% of Australian brewers already utilise an unbundled keg solution for at least a portion of their supply, while **[Redacted - confidential]**% of Australian brewers utilise an unbundled keg solution and do not acquire keg pooling services.²⁷⁶
- 8.52. The First NERA Report explains that this evidence suggests unbundled keg solutions and keg pooling services are close substitutes: 'When products are differentiated rather than trying to weigh the advantages and disadvantages, an objective approach to assessing economic substitutability is to measure actual use of the solutions by customers that can be broadly categorised as being similar.'²⁷⁷

²⁷⁴ **[Redacted - confidential]; [Redacted - confidential].**

²⁷⁵ **[Redacted - confidential].**

²⁷⁶ **[Redacted - confidential].**

²⁷⁷ **[Redacted - confidential].**

8.53. The First NERA Report also contends that the constraint of self-supply on keg pooling service providers is not only material for brewers who send kegged product within their local area, but also those that distribute kegs to more distant locations. As noted above, NERA relies on evidence from Kegstar that identifies over **[Redacted - confidential]** Australian brewers that send kegged product outside their local area (which Kegstar defined as adjacent postcodes and/or within 5kms from the production site) using their own (or leased) kegs.²⁷⁸

8.54. The Wainscoat Report cautions about drawing any conclusions about the substitutability of different keg solutions, based on information about existing usage alone. It states:

The fact that brewers use a range of keg solutions does not, in itself, establish that those solutions are close substitutes for the same volumes or use cases. A brewer's choice of keg solution is likely to reflect operational needs. For example, a brewer may self-supply local or predictable volumes while using PPF services for more distant, fragmented, overflow or unexpected demand. In that context, unbundled solutions and PPF services may be used together within a broader distribution strategy, rather than operating as close substitutes for the same volumes.²⁷⁹

8.55. Regarding NERA's finding regarding local areas, Dr Wainscoat explains 'the analysis does not show what volumes were supplied outside the local area' or 'the economics of doing so.'²⁸⁰

8.56. Australian brewers vary considerably in terms of their size, location, and primary distribution method, leading to variability in the extent to which keg pooling services and keg ownership are substitutable. Even within the same brewery, it may be convenient and cost-effective to distribute some volumes in the brewer's own kegs, but prohibitively costly and complex to send and retrieve kegs to other locations, unless it is via a keg pooling solution. For some kegged volumes, keg pooling and self-supply may be substitutable, however the existing keg usage patterns submitted by Kegstar do not provide strong evidence a large proportion of keg volumes sent by Australian brewers is substitutable in this way.

8.57. Based on the evidence before it, including submissions made by brewers summarised at paragraph 8.45, the ACCC considers that there are a substantial number of Australian brewers that rely on keg pooling services for a substantial proportion of the volume distributed by their business.²⁸¹ For these businesses, switching from keg pooling to self-supply while continuing to supply the same number of licensed venues as they currently do would be a major undertaking. This threat of self-supply would not represent a material constraint on Kegstar post-Acquisition.

Relevance of US state-level margin analysis to competitive constraints in Australia

8.58. The ACCC has considered the evidence of NERA, who submitted that MicroStar's margins in the United States support the proposition that competition from alternative

²⁷⁸ **[Redacted - confidential]**.

²⁷⁹ ACCC, *MicroStar Konvoy (Luke Wainscoat)*, 19 June 2026, p. 11. 72969.001.051.0001.

²⁸⁰ ACCC, *MicroStar Konvoy (Luke Wainscoat)*, 19 June 2026, p. 13. 72969.001.051.0001.

²⁸¹ **[Redacted - confidential]**.

keg pooling providers makes a limited contribution to constraining prices and that the primary competitive constraint on keg pooling providers is self-supply.

8.59. The analysis prepared in the First NERA Report shows that **[Redacted - confidential]**. The report infers from this that the existence of a second PPF provider does not add to the constraint on the primary PPF provider, because pricing is constrained primarily from unbundled supply. It also infers that the relevant market should be defined to include unbundled solutions.²⁸²

8.60. The First NERA Report states:

- **[Redacted - confidential]**.
- **[Redacted - confidential]**.
- **[Redacted - confidential]**
- **[Redacted - confidential]**. A fundamental relationship in microeconomics is the Lerner index, which states that the percentage gross margin of a firm is inversely related to the residual demand elasticity facing that firm. **[Redacted - confidential]**.²⁸³

8.61. This analysis from NERA was considered by Dr Wainscoat. According to Dr Wainscoat, a comparison of margins can be informative, but only 'where differences in costs, demand and market characteristics are adequately controlled for,' because 'there are many factors that may affect prices, costs, and margins across states beyond the number of competitors'.²⁸⁴ The NERA report does not control for these factors.

8.62. Dr Wainscoat also cautioned about relying on comparisons between the US and Australia when, as NERA notes, there is a different reverse logistics model in the US and higher truck utilisation compared to Australia.²⁸⁵ The NERA report states that, in Australia, PPF providers are responsible for retrieving kegs from venues, whereas in the US wholesalers retrieve and consolidate kegs.

8.63. The ACCC considers that the relevant question is whether the primary competitive constraint on keg pooling providers in Australia is the self-supply of kegs. The ACCC considers this analysis of US margins does not provide meaningful insight into this question. As noted by Dr Wainscoat, there are a range of factors that may influence margins, beyond simply the number of PPF suppliers in a state.

8.64. In addition, the different reverse logistics model (whereby wholesalers retrieve and consolidate kegs) represents a material difference between the US and Australia. In the United States, wholesalers consolidate kegs from multiple locations in the US (whereas in Australia the PPF provider performs this role), which could materially impact the ease with which US brewers can manage their own keg fleet compared to Australian brewers.

²⁸² **[Redacted - confidential]**.

²⁸³ **[Redacted - confidential]**.

²⁸⁴ ACCC, *MicroStar Konvoy* (Luke Wainscoat), 19 June 2026, p. 23. 72969.001.051.0001.

²⁸⁵ ACCC, *MicroStar Konvoy* (Luke Wainscoat), 19 June 2026, p. 24. 72969.001.051.0001.

Customer margin analysis and competitive constraints

- 8.65. The ACCC has considered NERA's analysis of Kegstar's customer margins, which was relied upon in support of the proposition that unbundled solutions are a strong competitive constraint for brewers regardless of their cost-to-serve.
- 8.66. NERA finds that the **[Redacted - confidential]**, which suggests brewers that send their kegs a further distance face similar competitive constraints to those that send kegs a short distance.²⁸⁶
- 8.67. Dr Wainscoat cautioned against treating this as conclusive evidence that all brewers would face the same competitive constraints after the Acquisition, on the basis that:
- the sample size of 9 brewers is small;
 - similar observed margins across customers do not necessarily imply similar competitive constraints (differences in margins may reflect differences in bargaining strength, utilisation, route-specific logistics costs, customer mix, or other operational and commercial factors); and
 - the margins may be similar due to the existing competition between the Parties – competition that would be lost due to the Acquisition.²⁸⁷
- 8.68. In response to the Wainscoat Report's statement regarding sample size, the Third NERA Report²⁸⁸ expanded the sample size of the analysis to 24 brewers.
- 8.69. The ACCC does not consider this analysis supports a finding that self-supply would be a material constraint on Kegstar following the Acquisition. The similarity of margins across different brewer types may be due to the existing competition between the Parties.

The likelihood of sufficient and timely entry

- 8.70. The ACCC has assessed the likelihood of sufficient and timely new entry following the Acquisition, and considered whether the threat of entry from a greenfield entrant (as distinct from an entrant that acquires Konvoy's assets) would constrain Kegstar in the future with the Acquisition and offset the loss of competitive constraint that Konvoy imposed on Kegstar.
- 8.71. The threat of new entry may mean that an acquisition will not substantially lessen competition if that entry is likely, timely and sufficient in quality and quantity to make up for the loss in competition.²⁸⁹
- 8.72. Kegstar has submitted that the Acquisition would not raise barriers to entry or expansion because the key inputs required to supply keg pooling services would remain available to prospective entrants. Kegstar further submitted that the Acquisition would not affect access to those inputs.²⁹⁰ More generally, Kegstar considers that the principal

²⁸⁶ **[Redacted - confidential]**.

²⁸⁷ ACCC, *MicroStar Konvoy (Luke Wainscoat)*, 19 June 2026, p. 14. 72969.001.051.0001.

²⁸⁸ **[Redacted - confidential]**.

²⁸⁹ *Re Queensland Co-operative Milling Association Ltd – Proposed Merger* (1976) 8 ALR 481 (**QCMA**), 512.

²⁹⁰ **[Redacted - confidential]**. See also **[Redacted - confidential]**.

challenge for entry is achieving sufficient economies of density to operate profitably and compete effectively.²⁹¹

8.73. On this basis, Kegstar submitted that the Acquisition would not materially affect the ability of potential entrants, including firms operating in adjacent markets, to enter and constrain Kegstar if market conditions made entry commercially attractive. If such an alternative supplier exists, then entry would become more likely if Kegstar sought to raise its prices above competitive levels. The threat of such entry acts as a long-run pricing discipline on Kegstar.²⁹²

8.74. In addition, Konvoy points to the example of **[Redacted - confidential]**.²⁹³

8.75. Based on the evidence, while the factors set out below indicate that the market for keg pooling services in Australia exhibits significant barriers to entry, the ACCC considers that such barriers are ultimately not insurmountable, and that new entry is possible over time. While new entry is possible, the ACCC considers that it is likely to take a period of at least 3 years, for any new entry to occur at sufficient scale to constrain the market power of the merged entity post-Acquisition. While new entry is possible, the ACCC considers that it is likely to take a period of at least 3 years, for any new entry to occur at sufficient scale to constrain the market power of the merged entity post-Acquisition. This is including because existing customer contractual arrangements would limit a new entrant's ability to rapidly attract sufficient customers to build scale.

8.76. Although the ACCC accepts that kegs and other key inputs are generally available, it considers that the more significant barriers relate to developing the operational capability, reputation and customer base necessary to compete effectively. An entrant would need to secure customer contracts at sufficient scale to achieve economies of density and establish a viable competitive presence. Given the limited pool of contestable customer contracts and the advantages enjoyed by established providers, the ACCC considers that entry is unlikely to be sufficiently timely or effective to offset the loss of competition resulting from the Acquisition.

Requirements for entry

8.77. The ACCC considers that entry into the supply of keg pooling services requires more than the acquisition of kegs. A new entrant must obtain access to a sufficiently large pool of kegs, secure satisfactory logistics capabilities and obtain operational expertise, and attract customers at a scale that enables the efficient utilisation of its keg fleet.

8.78. The ACCC's position is consistent with internal documentary evidence from Kegstar, which notes that **[Redacted - confidential]**.²⁹⁴

8.79. The ACCC has assessed whether these requirements can be achieved within a commercially reasonable timeframe and at sufficient scale to provide an effective competitive constraint.

²⁹¹ **[Redacted - confidential]**.

²⁹² **[Redacted - confidential]**.

²⁹³ **[Redacted - confidential]**.

²⁹⁴ **[Redacted - confidential]**.

8.80. In its assessment, the ACCC has been assisted by submissions from Kegstar, Konvoy and market participants concerning the availability of inputs, the importance of operational expertise, the ability of an entrant to secure customer contracts at scale, and the likelihood of future entry. The ACCC has also been assisted by the expert report of Dr Wainscoat.

Availability of kegs and warehousing

8.81. The ACCC considers that successful entry into keg pooling requires access to a substantial pool of kegs. In 2020, shortly after Konvoy entered the keg pooling market, it purchased [Redacted - confidential].²⁹⁵ Today, Konvoy has a fleet of around [Redacted - confidential],²⁹⁶ while Kegstar reports its keg fleet has recently increased to around [Redacted - confidential].²⁹⁷

8.82. The ACCC has also considered evidence from market participants regarding the scale of keg fleet required for a new entrant to compete effectively. Estimates varied considerably, from between 50,000²⁹⁸ to 200,000 kegs,²⁹⁹ or between 50,000 to 60,000 fills per month.³⁰⁰ It was also suggested that the scale of fleet required depends on factors such as the number of customers and contracts serviced, and that there is no fixed minimum threshold for entry.³⁰¹

8.83. The ACCC considers that there is no single threshold fleet size required for entry, and that the scale of investment required may vary depending on the entrant's business model. While the ACCC has not sought to determine the precise fleet size necessary for successful entry, the evidence indicates that achieving sufficient scale to compete effectively and earn a sustainable return requires a significant upfront investment in kegs.

8.84. The Parties submitted that the inputs necessary for a keg pooling business are not scarce and are readily available. Kegs are available to purchase from multiple manufacturers with an approximate lead time of 8 weeks.³⁰² Kegs can readily be resold on the secondary market, so the costs are not sunk.³⁰³ Further, warehouse space is readily available in Australian capital cities. Keg tracking and management technology is commercially available from multiple providers. The Acquisition does not alter access to any of these inputs.³⁰⁴

8.85. On the available evidence the ACCC considers it likely that the inputs into a keg pooling business are readily available and that the Acquisition does not alter access to them. However, the capital investment required to enter the Australian keg pooling market may still be significant.

8.86. The ACCC understands that keg prices vary over time depending on factors such as global steel prices, freight costs, sourcing arrangements and order volumes.

²⁹⁵ [Redacted - confidential].

²⁹⁶ [Redacted - confidential].

²⁹⁷ [Redacted - confidential].

²⁹⁸ [Redacted - confidential]; [Redacted - confidential].

²⁹⁹ [Redacted - confidential].

³⁰⁰ [Redacted - confidential].

³⁰¹ [Redacted - confidential] 72969.001.059.0001.

³⁰² [Redacted - confidential].

³⁰³ [Redacted - confidential]; [Redacted - confidential].

³⁰⁴ [Redacted - confidential].

Nevertheless, the evidence before the ACCC indicates that the cost of acquiring a keg is typically in the range of \$100 to \$200 per keg.³⁰⁵ Consistent with this, a [Redacted - confidential].³⁰⁶ The ACCC considers that establishing a keg fleet of sufficient scale to compete effectively would therefore require substantial capital investment, potentially extending into the tens of millions of dollars. For example, [Redacted - confidential] estimated that building a keg fleet capable of competing on a national basis would require an investment of approximately \$[Redacted - confidential].³⁰⁷

8.87. The ACCC considers that there are limited alternatives to purchasing a keg fleet when establishing a keg pooling business. As set out at paragraph 8.11, the ACCC does not consider keg leasing or keg financing providers to provide a meaningful alternative to fleet ownership. One keg financing provider advised the ACCC that it had attracted only one customer in the last 3 years, indicating very limited uptake of such arrangements.³⁰⁸

8.88. The ACCC acknowledges that many prospective entrants may require access to funding to support the substantial upfront capital investment necessary to establish a keg pooling business at sufficient scale. The ACCC has not received evidence suggesting that access to funding would, of itself, preclude entry. In this regard, the ACCC notes that Konvoy was able to secure funding to support its entry and subsequent expansion, indicating that capital can be available where investors have confidence in an entrant's expertise, business strategy and prospects for growth.

8.89. While the ACCC does not consider the capital investment required to enter the market to be a barrier to entry, prospective entrants would likely need to demonstrate relevant operational expertise and industry experience, such as through participation in an adjacent or complementary industry, to obtain funding for such an investment. Developing that capability and securing funding may take time, and is likely to affect the timeliness of entry.

Customer contracts and entry at scale

8.90. The ACCC considers that the ability to attract customers at sufficient scale is a significant requirement for entry into the keg pooling market. To establish a viable business and provide a meaningful competitive constraint on Kegstar, an entrant would need to secure customer contracts with adequate demand to support the efficient utilisation of its keg fleet, enable the entrant to offer competitive pricing and generate a reliable revenue stream.

8.91. The ACCC has assessed the extent to which a prospective entrant could secure customer contracts but has not sought to determine precisely how much scale is required to support a new entrant. The scale required to support a new entrant would depend on the cost structure and operational aspects of the business, which could differ depending on the business model adopted.

8.92. Kegstar has submitted that keg pooling service providers require density and scale to be competitive in a given region because 'profitability is driven by network effects and operational efficiencies that can only be achieved at significant scale'.³⁰⁹

³⁰⁵ [Redacted - confidential]; [Redacted - confidential].

³⁰⁶ [Redacted - confidential].

³⁰⁷ [Redacted - confidential].

³⁰⁸ [Redacted - confidential].

³⁰⁹ [Redacted - confidential].

The ACCC agrees that economies of density and scale exist in the keg pooling service industry. For this reason, access to brewers through customer contracts is likely to be an important factor determining whether entry will be successful.

- 8.93. Customer contracts for both Kegstar and Konvoy typically have a duration of between 3 and 5 years, and include exclusivity provisions, restricting the customer's ability to contract with alternative keg pooling service providers.³¹⁰ For example, **[Redacted - confidential]**.³¹¹ **[Redacted - confidential]**.³¹² **[Redacted - confidential]**.³¹³
- 8.94. The staggered start dates and 3-to-5-year length of customer contracts mean at any given time, only a limited number of customers (and the associated volume of refills demanded by those customers) seeking keg pooling services are contestable. For instance, Kegstar's top 20 customers (who in FY25 accounted for **[Redacted - confidential]**% of Kegstar's fills) had an average contract length of **[Redacted - confidential]** years (from the contract commencement date).³¹⁴ Those 20 customer contracts are due to expire at various points between **[Redacted - confidential]**, but no more than **[Redacted - confidential]** of those contracts are due to expire in any single calendar year during that period.³¹⁵
- 8.95. Market participants have given evidence that access to customer contracts is a key barrier. Market participants submitted that an entrant would be unlikely to make an investment in a keg fleet without some degree of certainty regarding customer demand and a prospect of winning customers from the incumbent provider at scale.³¹⁶ One interested party submitted that if Kegstar acquires Konvoy or Konvoy is liquidated, all customers wanting keg pooling services would need to contract with Kegstar, which would make it difficult for a new entrant to gain customers.³¹⁷
- 8.96. Kegstar submitted that under its standard form contract customers are free to switch volumes from keg pooling services to alternative keg logistics solutions for its currently owned kegs.³¹⁸ The Receivers also submitted that **[Redacted - confidential]**.³¹⁹
- 8.97. The ACCC considers that the clearest evidence of the potential for new entry is the actual entry of Konvoy that occurred in 2019. In 2019, Konvoy entered and was able to acquire a keg fleet of around **[Redacted - confidential]**.³²⁰ The ACCC understands that by around the **[Redacted - confidential]**, Konvoy's Australia & New Zealand business was profitable.³²¹ The ACCC considers that this evidence shows that new entry at scale, within a relatively truncated period of time, was possible at the time of Konvoy's entry.
- 8.98. However, the ACCC has also considered the particular circumstances of Konvoy's entry. On the evidence before it, the entry by Konvoy in 2019 appears to have occurred in

³¹⁰ **[Redacted - confidential]**; **[Redacted - confidential]**.

³¹¹ **[Redacted - confidential]**.

³¹² ACCC review of customer contracts provided by Kegstar in response to section 155(1)(a) and (b) notice of 4 June 2026 and RFI of 27 February 2026. **[Redacted - confidential]**. See **[Redacted - confidential]**

³¹³ **[Redacted - confidential]**.

³¹⁴ **[Redacted - confidential]**.

³¹⁵ **[Redacted - confidential]**.

³¹⁶ **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**; **[Redacted - confidential]**.

³¹⁷ **[Redacted - confidential]**.

³¹⁸ **[Redacted - confidential]**.

³¹⁹ **[Redacted - confidential]**.

³²⁰ **[Redacted - confidential]** **[Redacted - confidential]**.

³²¹ **[Redacted - confidential]**; **[Redacted - confidential]**.

unique circumstances. Its founder, Adam Trippe-Smith (the founder and previous owner of Kegstar), had substantial existing industry experience, established customer relationships and a demonstrated track record in keg pooling. Konvoy also entered when strong growth in the number of small, independent brewers meant that more new customer contracts were available.³²²

- 8.99. On the basis of the evidence before it, the ACCC considers that the existing contractual arrangements with terms of 3 to 5 years, containing exclusivity clauses and restrictive termination clauses, are likely to materially limit a new entrant's ability to rapidly attract sufficient customers to build scale. This is because customers that collectively represent a significant share of demand for keg pooling services would be effectively 'locked in' to contracts with the merged entity as the sole provider post-Acquisition, with only limited and staggered opportunities for any new entrant to compete for customers.

Importance of operational capabilities and reputation

- 8.100. As with access to kegs, Kegstar submitted that the logistical inputs necessary for a keg pooling business are readily available in the market, with over 30 logistics providers having been identified in Australia that can provide the reverse logistics required to operate a keg pooling service.³²³

- 8.101. The ACCC considers that access to logistics providers is unlikely, in of itself, to represent a significant barrier to entry.

- 8.102. The ACCC has also considered the extent to which effective competition in keg pooling requires more than procuring logistics services from third parties. On the evidence before it, the ACCC considers an entrant must also possess, or have the capability to quickly develop, the operational expertise, industry knowledge and commercial relationships necessary to manage a keg pooling service efficiently and reliably. The evidence before the ACCC is that customers value these capabilities, and they are important to establishing customer confidence and delivering a service that can compete effectively with incumbent providers.

- 8.103. The history of keg pooling in Australia demonstrates this importance. Kegstar benefited from the involvement of Brambles, a global supply chain and logistics company, which provided financial support, supply chain expertise and access to its global network. Kegstar also expanded its capabilities through its acquisition of Keg Lease in 2017. Konvoy was founded by Adam Trippe-Smith and Shane Bradley, who had previously established and operated Kegstar, and therefore entered the market with substantial industry knowledge, customer relationships and operational expertise. Konvoy subsequently strengthened its capabilities through its acquisition of Keg Services in 2020, a specialised keg repair, maintenance and sales business.

- 8.104. In each case, Kegstar and Konvoy benefitted from having access to personnel with logistics expertise and operational capabilities, which proved critical to establishing a viable keg pooling business. This is consistent with market feedback received by the ACCC. One market participant, for example, indicated that operating a keg pooling business requires deep expertise in logistics and reverse supply chain management, in addition to substantial capital investment.³²⁴ It is also consistent with the statement of

³²² [Independent Brewers Association – Submission to 2020-21 Pre-Budget Submissions](#).

³²³ [Redacted - confidential].

³²⁴ [Redacted - confidential].

Kegstar’s Australia & New Zealand General Manager, who stated that **[Redacted - confidential]**.³²⁵

8.105. The ACCC considers that the more significant challenge for a prospective entrant lies not in obtaining access to kegs or logistics providers, but in developing the operational capability and reputation required to attract customers and provide keg pooling services at scale. While the ACCC does not consider these requirements to be insurmountable – indeed, Konvoy was able to successfully enter the market in 2019 – they are likely to increase the time and effort required for a new entrant to establish an effective competitive presence. For the reasons discussed below at paragraphs 8.110 to 8.113, the ACCC considers these conditions to be even more challenging today than when Konvoy entered the market.

Potential for new greenfield entrants

8.106. In assessing the likelihood of future entry, the ACCC has also considered whether there are any identifiable prospective greenfield entrants that may be capable of entering the market and competing effectively. Through its investigation, the ACCC has not identified any new entrants that are likely to provide keg pooling services in competition with Kegstar in the short to medium term (the next 3 to 5 years).

8.107. Evaaro is a keg management platform comprising eKeg, Keg Logistics and North Keg. It states that it manages a fleet of approximately 3 million kegs, across the United Kingdom, Ireland, the United States, Canada and Europe, and is backed by private equity firm MML Capital.³²⁶ Evaaro’s CEO, Adam Trippe-Smith, previously founded both Kegstar and Konvoy. **[Redacted - confidential]**³²⁷ The ACCC accepts the Receivers’ submission, and considers that Evaaro has substantial financial resources and management with industry expertise and established connections within the Australian keg pooling sector, making it a plausible candidate for entry.

8.108. Evaaro’s current operations are in Europe and North America, but the company has stated its ambition to serve global brewing customers.³²⁸ **[Redacted - confidential]**.³²⁹

8.109. Other parties who have expressed an interest in acquiring the business or assets of Konvoy, such as **[Redacted - confidential]**.³³⁰

8.110. Although Konvoy entered Australia in 2019 and was successful in winning customers from Kegstar, the ACCC considers it unlikely that this experience will be replicated by a new entrant anytime soon. As discussed above, Konvoy was founded by the previous founder of Kegstar and benefitted from industry knowledge and established customer connections. Konvoy also entered during a period of growth in small, independent brewers, such that there were more new customer contracts available.

³²⁵ **[Redacted - confidential]**

³²⁶ <https://mmlcapital.com/portfolio/evaaro/>.

³²⁷ **[Redacted - confidential]**.

³²⁸ [EVAARO, Backed by MML Keystone, Launches International Keg Pooling Business - MML Capital](#)

³²⁹ **[Redacted - confidential]**.

³³⁰ **[Redacted - confidential]**.

- 8.111. These conditions are unlikely to exist post-Acquisition. The ACCC understands that the small, independent brewer segment of the Australian market is currently experiencing difficulties. **[Redacted - confidential]**, for example, noted in a call with the ACCC that the segment of the market is '**[Redacted - confidential]**'.³³¹
- 8.112. In addition, while not determinative, the ACCC considers that there are a number of strategic considerations that may reduce the attractiveness of greenfield entry in the short to medium term. As discussed above, the market has historically been characterised by exclusive contracting arrangements and, more recently, intense price competition between Kegstar and Konvoy. The ACCC considers that these factors may also make new entry less commercially attractive to some prospective entrants in the short to medium term.
- 8.113. Accordingly, based on the evidence before it, the ACCC considers that timely new entry by a competitor to Kegstar is not likely.

9. Remedy offer

- 9.1. On 17 June 2026, Kegstar offered the Proposed Undertaking which it contended would address the ACCC's competition concerns as identified in the NOCC. The Proposed Undertaking places obligations on Kegstar to:
- not include or enforce any exclusivity terms in Kegstar's customer or supplier contracts for a period of 3 years;
 - offer to contract with existing Konvoy customers at the same initial pricing for a period of up to 3 years;
 - provide customers with an option to purchase kegs from Kegstar following the termination or expiry of their contract for a period of 3 years; and
 - incorporate KPIs into customer contracts that, if not met or remediated, would provide customers with the right to terminate, without penalty or exit fee.
- 9.2. Kegstar submitted that these obligations address the ACCC's concerns regarding barriers to entry from a customer and supplier contracting perspective, enhance customer countervailing power, and protect Konvoy customers during the transition post-Acquisition and from any service standard degradation.³³²
- 9.3. On the basis of the evidence before it, the ACCC does not consider that the Proposed Undertaking addresses the extent of the competitive harm arising from the Acquisition. That harm is substantial and arises from a significant structural change to a monopoly provider of keg pooling services in Australia. A behavioural and time-limited remedy does not sufficiently replicate the structural competitive constraint provided by an independent competitor.

Assessment of the remedy offer

- 9.4. When considering whether a remedy may be appropriate, the ACCC tests the likely effectiveness of the remedy in addressing the competitive harm likely to result from the acquisition. This includes the nature and extent of the competitive harm, as well as

³³¹ **[Redacted - confidential]**.

³³² **[Redacted - confidential]**.

pragmatic considerations regarding how difficult a remedy will be to administer, the ability of the undertaking signatory to deliver the required outcomes, and any risk associated with the implementation of a remedy (or failure to do so).

- 9.5. In assessing whether the Proposed Undertaking is likely to address the competitive harm likely to arise from the Acquisition, the ACCC has taken into account submissions made by Kegstar³³³ and feedback provided by market participants as part of the ACCC's consultation process. The ACCC placed the Proposed Undertaking on the Acquisitions Register for 5 business days from 24 June 2026.

Behavioural nature of the Proposed Undertaking

- 9.6. The ACCC considers that the principal limitation of the Proposed Undertaking is that it is behavioural in nature and does not address the significant structural change to the market, and resultant competitive harm, arising from the Acquisition.
- 9.7. As outlined in the ACCC's merger remedies guidance and chapter 9 of the ACCC's interim Merger Process Guidelines, the ACCC has a strong preference for structural remedies.³³⁴ This is because structural remedies are more likely to provide an enduring remedy to the competitive harm arising from an acquisition. In contrast, behavioural remedies are often only effective while the behavioural obligations remain in effect and parties act in accordance with those obligations (and, for example, they are not circumvented such that the remedy fails to achieve its objectives).
- 9.8. The Proposed Undertaking seeks to regulate Kegstar's conduct through behavioural obligations, which do not address the structural change brought about by Kegstar acquiring its closest and only direct competitor in the supply of keg pooling services in Australia, as outlined in more detail in paragraphs 8.6 to 8.12.
- 9.9. The behavioural obligations in the Proposed Undertaking are a poor alternative for independent competition. The Proposed Undertaking is time-limited, unlike the structural change to the market brought about by the Acquisition and the short-term nature of the customer protections contained within the Proposed Undertaking was something repeatedly raised by market participants.³³⁵
- 9.10. Further, the obligations contained within the Proposed Undertaking are static, whereas competition, by its nature, is dynamic. It is unlikely that the obligations within the Proposed Undertaking can fully adjust to changes in the competitive environment, costs, technology, consumer preferences and other factors of a dynamic market, even if there is a degree of flexibility in the obligations.³³⁶
- 9.11. Further, as a behavioural undertaking has been offered, monitoring and implementation risks must be considered. The Proposed Undertaking will require

³³³ [Redacted - confidential]; [Redacted - confidential].

³³⁴ See: <https://www.accc.gov.au/business/mergers-and-acquisitions/remedies> and <https://www.accc.gov.au/about-us/publications/merger-process-guidelines>.

³³⁵ ACCC, *Market Participant Questionnaire Response and Submission*, 25 June 2026. 72969.001.057.0041; ACCC, *Market Participant Questionnaire Response and Submission*, 24 June 2026. 72969.001.057.0033; ACCC, *Market Participant Questionnaire Response and Submission*, 25 June 2026. 72969.001.057.0026; ACCC, *Market Participant Questionnaire Response and Submission*, 25 June 2026. 72969.001.057.0018; ACCC, *Market Participant Questionnaire Response and Submission*, 24 June 2026. 72969.001.057.0001; ACCC, *Market Participant Questionnaire Response and Submission*, 24 June 2026. 72969.001.057.0012.

³³⁶ For example, clause 7 does not prevent Kegstar from negotiating and entering into a contract with an existing Konvoy customer on terms that differ from those described in clause 7.

Kegstar to behave in a manner that is inconsistent with its own interests, particularly as the only keg pooling service provider in Australia post-Acquisition. Even with careful consideration by the ACCC, and independent auditing of compliance, there remains a risk that the obligations contained with the Proposed Undertaking cannot be effectively monitored and enforced in a way that addresses the competitive harm arising from the Acquisition.

The specific obligations in the Proposed Undertaking

9.12. In addition to the general behavioural nature of the Proposed Undertaking, the ACCC has considered the effectiveness of the specific obligations in the Proposed Undertaking in addressing the competitive harm arising from the Acquisition. That consideration is set out below in respect of each specific obligation.

No exclusivity in customer contracts for three years

9.13. The Proposed Undertaking contains an obligation on Kegstar to not include or enforce any exclusivity terms in customer contracts for a period of 3 years.

9.14. Kegstar submitted that this addresses multi-year contracts with exclusivity provisions operating to limit contestability and impede new entrants from reaching the scale necessary to compete. Without exclusivity, customers are free to switch to an alternative provider (or to self-supply) at any time, removing the contracting barrier to entry and enhancing customer countervailing power.³³⁷

9.15. Attracting customers at a sufficient scale is a significant requirement for any new entrant, as outlined above at paragraph 8.90, and removing exclusivity in customer contracts is a measure that may enhance the ability for a new entrant to build that scale.

9.16. However, a temporary lack of exclusivity, even in conjunction with the rest of the Proposed Undertaking, is unlikely to facilitate timely and effective entry in a way that would constrain Kegstar to the same extent as an independent competitor would.

9.17. Further, this obligation, and the Proposed Undertaking more generally, does not address other factors which may impact the ability of a new entrant to attract customers, such as reputation and established customer relationships, nor does it address other factors identified by the ACCC that may be relevant to new entry, including demonstrated operational expertise and capability, and the strategic considerations that may reduce the attractiveness of entry in the short to medium term. Those strategic considerations are likely to remain, particularly where the obligations in the Proposed Undertaking are only for a limited period.

9.18. This obligation is also of limited value in addressing competitive harm likely to arise in the short term in circumstances where there is only one provider of keg pooling services in Australia. A range of market participants, including small to medium sized brewers, made submissions to this effect.³³⁸

³³⁷ [Redacted - confidential].

³³⁸ ACCC, *Market Participant Questionnaire Response and Submission*, 25 June 2026. 72969.001.057.0041; ACCC, *Market Participant Questionnaire Response and Submission*, 24 June 2026. 72969.001.057.0033; ACCC, *Market Participant Questionnaire Response and Submission*, 25 June 2026. 72969.001.057.0026; ACCC, *Market Participant Questionnaire Response and Submission*, 25 June 2026. 72969.001.057.0018; ACCC, *Market Participant Questionnaire Response and Submission*, 24 June 2026. 72969.001.057.0001.

9.19. In this context, the ACCC does not consider the obligation assists in enhancing customer countervailing power and the ability to switch to self-supply, as the evidence before the ACCC indicates that self-supply is unlikely to be a practical alternative for keg pooling services, particularly for smaller and regional brewers, even with the Proposed Undertaking.³³⁹

No exclusivity in supplier contracts for three years

9.20. The Proposed Undertaking contains an obligation on Kegstar to not include or enforce any exclusivity terms in supplier contracts, including logistics providers for a period of 3 years.

9.21. Kegstar submitted that this addresses barriers to entry by ensuring the logistics providers remain available to serve any potential new entrant or self-supplying brewer.³⁴⁰

9.22. As outlined in paragraph 8.101, the ACCC considers that access to logistics providers is unlikely, in of itself, to represent a significant barrier to entry where those contracts are not exclusive. While this obligation preserves this position, it does not address the various other barriers to timely and sufficient entry identified by the ACCC and does not make self-supply a likely practical substitute for brewers for the reasons previously outlined. In that regard, it is a poor substitute for the independent competition lost as a result the Acquisition.

Konvoy customer transition options

9.23. Pursuant to the Proposed Undertaking, all existing Konvoy customers would be offered the option to enter into a contract with Kegstar on its standard terms and conditions but with the same pricing as their existing contract with Konvoy, for a period of up to 3 years.

9.24. Kegstar submitted this will provide practical protection to brewers to ensure continuity of supply and pricing protection for existing Konvoy customers during a post-merger transition.³⁴¹

9.25. The ACCC considers this obligation may assist in mitigating some of the competitive harm for a limited period by preventing price increases for the portion of Konvoy customers who take up this option. However, a limited period pricing freeze does not address the market power that Kegstar may exercise as the only provider of keg pooling services in Australia in the longer term. Several market participants raised concerns that this obligation would have little utility where Kegstar is the only keg pooling service provider in Australia.³⁴²

³³⁹ ACCC, *Market Participant Questionnaire Response and Submission*, 24 June 2026. 72969.001.057.0033; ACCC, *Market Participant Questionnaire Response and Submission*, 25 June 2026. 72969.001.057.0026; ACCC, *Market Participant Questionnaire Response and Submission*, 25 June 2026. 72969.001.057.0018; ACCC, *Market Participant Questionnaire Response and Submission*, 29 June 2026. 72969.001.057.0012.

³⁴⁰ [Redacted - confidential].

³⁴¹ [Redacted - confidential].

³⁴² ACCC, *Market Participant Questionnaire Response and Submission*, 25 June 2026. 72969.001.057.0041; ACCC, *Market Participant Questionnaire Response and Submission*, 24 June 2026. 72969.001.057.0033; ACCC, *Market Participant Questionnaire Response and Submission*, 25 June 2026. 72969.001.057.0018; ACCC, *Market Participant Questionnaire Response and Submission*, 29 June 2026. 72969.001.057.0012.

- 9.26. Additionally, pursuant to clause 7.3 of the Proposed Undertaking, Kegstar will remain free to negotiate pricing during the period in which the Proposed Undertaking would apply, such that the option may be undermined in practice. In this regard, the ACCC does not consider that countervailing power will provide a competitive constraint on Kegstar, including because as outlined above, the ACCC does not consider self-supply a practical substitute for brewers. The ACCC also notes the obligations in the Proposed Undertaking provide no protection to existing Konvoy customers who do not request a Kegstar contract within the applicable time period, nor for new Konvoy customers or existing Kegstar customers.

Customer option to purchase kegs

- 9.27. The Proposed Undertaking contains an obligation on Kegstar to offer customers the option to purchase kegs from Kegstar at market value upon termination or expiration of the customer's contract.
- 9.28. Kegstar submitted that this addresses countervailing power concerns by providing a practical, cost-effective pathway for customers to transition to self-supply or to another provider without needing to purchase new kegs at full price. It is said to eliminate the capital cost barrier as an impediment to self-supply, by allowing customers to acquire kegs at book value rather than replacement cost.³⁴³
- 9.29. While the option to obtain kegs at a lower price would be a more attractive alternative than purchasing kegs at full price, brewers nevertheless need funding or capital to purchase kegs. Further, the other main impediment for brewers seeking to self-supply is the operational capability and ongoing logistical management to organise and oversee the reverse logistics of returning the kegs. These factors are not addressed by the Proposed Undertaking. The ACCC does not consider that this obligation, even in conjunction with the rest of the Proposed Undertaking, would result in a sufficient proportion of brewers being able to credibly switch to self-supply so as to remedy the loss of an independent competitive constraint.

Service level commitments with termination rights

- 9.30. The Proposed Undertaking provides customers the right to terminate their contracts with Kegstar without penalty if Kegstar materially fails to meet certain KPIs and does not remedy the failure within a reasonable period. Those KPIs cover on-time delivery of empty kegs, timely collection of empty kegs from venues, turnaround time to re-perform keg services, supplier review meetings, billing accuracy and customer support response times.
- 9.31. Kegstar submitted that this addresses the risk that Kegstar could degrade service quality by providing customers with an enforceable exit right, and practical protection against any diminution in service standards for a period of time and time to plan to change to an alternative keg logistics solution without penalty.³⁴⁴
- 9.32. While such a right could possibly limit competitive harm in respect of service quality, ultimately, the ACCC considers the effect is likely to be very limited in circumstances where market feedback indicates customers do not have an alternative keg pooling service provider to switch to and self-supply is not an option for a material

³⁴³ [Redacted - confidential].

³⁴⁴ [Redacted - confidential].

portion of customers.³⁴⁵ Such a time-limited obligation does not provide the same competitive constraint on Kegstar's ability to reduce quality of service as an independent competitor would.

- 9.33. Accordingly, based on the evidence before it, the ACCC does not consider that the Proposed Undertaking addresses the significant competitive harm arising from the Acquisition. While some specific obligations in the Proposed Undertaking have the potential to improve some conditions for competition, the time-limited, behavioural obligations do not adequately address the longer-term competitive harm arising from a significant structural shift to a monopoly keg pooling service provider brought about by the Acquisition.

10. Conclusion

- 10.1. The ACCC is satisfied that the Acquisition, if put into effect, would, in all the circumstances, be likely to have the effect of substantially lessening competition in the supply of keg pooling services in Australia.
- 10.2. The ACCC has considered both the state of competition with the Acquisition and absent the Acquisition. With the Acquisition, Konvoy's assets would be acquired by Kegstar and Konvoy would cease to competitively constrain Kegstar. This would leave Kegstar without a direct competitor. Without the Acquisition, while there is a possibility that Konvoy and its assets may permanently exit the market, there remains a real commercial prospect of Konvoy's business being acquired as a going concern through an alternate sale process, or a substantial portion of its assets being acquired and deployed in keg pooling services.
- 10.3. The ACCC does not consider that self-supply would sufficiently competitively constrain Kegstar in the future with the Acquisition. While some larger brewers may be able to switch entirely to self-supply, the ACCC considers that a substantial portion of customers would be unable to switch significant volumes to self-supply due to the costs, operational capability and logistics required to self-supply.
- 10.4. The ACCC also does not consider that timely and sufficient entry would be likely. A new entrant may be able to secure kegs and logistics services, but would be unlikely to be able to attract a sufficiently large customer base in a timely manner to compete effectively.
- 10.5. In reaching its conclusion, the ACCC has undertaken a single evaluative judgement, having regard to the object of the Act and the interests of consumers and having considered the submissions made and information and documents before it.

³⁴⁵ ACCC, *Market Participant Questionnaire Response and Submission*, 25 June 2026. 72969.001.057.0041; ACCC, *Market Participant Questionnaire Response and Submission*, 24 June 2026. 72969.001.057.0033; ACCC, *Market Participant Questionnaire Response and Submission*, 25 June 2026. 72969.001.057.0026; ACCC, *Market Participant Questionnaire Response and Submission*, 25 June 2026. 72969.001.057.0018; ACCC, *Market Participant Questionnaire Response and Submission*, 29 June 2026. 72969.001.057.0012.